NDSU AGRICULTURAL RISK POLICY CENTER

Trends and Outlook for Supplemental Crop Insurance in the United States, 2025

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Summary

This ARPC Report examines supplemental crop insurance under the Federal Crop Insurance Program and how participation may change under the One Big Beautiful Bill Act (OBBBA). Using USDA Risk Management Agency data from 2015–2025 and early 2026 sales, the analysis shows that growth has been concentrated in the Enhanced Coverage Option (ECO). By 2025, supplemental coverage reached 86 million acres, 72 percent consisting of ECO, while Supplemental Coverage Option (SCO) adoption declined from its 2023 peak. ECO acreage increased roughly 4-fold after the 2025 subsidy increase, consistent with strong sensitivity to producer-paid premiums. Early 2026 sales project adoption of 61.8 percent of eligible acres for ECO and 26.6 percent for SCO, although observed ECO adoption remains about 10 percentage points lower than projected where reporting is complete. Because supplemental products cover narrow layers above the deductible, acreage growth does not translate proportionately into insured value. OBBBA's recalibrated coverage bands take effect in 2027.

Keywords: Crop insurance, Federal Crop Insurance Program, One Big Beautiful Bill Act, premium subsidies, shallow-loss coverage, area-based insurance

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Key Insights

- **The Enhanced Coverage Option (ECO) has accounted for most of the recent growth in supplemental coverage.** By 2025, supplemental insurance covered 86 million acres, with ECO accounting for 72 percent. Supplemental Coverage Option (SCO) participation has moved in the opposite direction, falling from a peak of 6.79 percent of eligible acreage in 2023 to 4.69 percent in 2025.
- **The 2025 increase in the ECO premium subsidy was followed by a roughly 4-fold increase in insured ECO acreage, with much of the growth occurring in the Midwest and Northern Plains.** Expansion of ECO eligibility to additional crops explains only a small share of the increase.
- **Early 2026 sales point to another large increase in participation.** ECO is projected to reach 61.8 percent of eligible acreage and SCO 26.6 percent, about 2.3 and 5.7 times their respective 2025 rates. In areas where acreage reporting is complete, however, observed ECO participation is running about 9.9 percentage points below the projection.
- **The 2026 results should be interpreted as a transition year rather than an indication of where participation will settle in 2027.** The higher subsidies in 2026 apply to the coverage structure that predates the One Big Beautiful Bill Act. Beginning in 2027, changes to the SCO and ECO coverage bands will also alter premiums, indemnities, and the producer's net benefit; the ECO band narrows from 86–95 percent to 90–95 percent, roughly halving the insured interval.
- **Acreage participation also overstates the amount of value covered by supplemental insurance. SCO and ECO insure relatively narrow layers above the underlying policy deductible.** ECO's 90–95 percent layer is more likely to trigger than SCO's coverage layer, helping explain why much of the subsidy-driven increase in participation has occurred in ECO.
- **The Margin Coverage Option (MCO) drew few buyers in its first year, and then got an immediate test.** Participation was limited at 8,959 policies nationally, in part because producers cannot combine MCO with ECO.

Introduction

Farming is one of America's most important industries, supplying the food and fiber that sustain communities and support the broader economy. At the same time, it is one of the most uncertain businesses (Whitt et al., 2022; Whitt et al., 2023). Farmers routinely face volatile commodity prices, shifting consumer demand, extreme weather, and the ongoing threat of pests and disease. These risks can undermine farm income, strain financial stability, and, in severe cases, threaten the long-term viability of agricultural operations. As a result, effective risk management tools (Harwood et al., 1999; Turner et al., 2023), especially crop insurance (Gaku and Tsiboe, 2025; Tsiboe et al., 2025), play a central role in maintaining a productive and resilient U.S. agricultural sector. Recent ARPC reports document the size, diversity, growth, market penetration, and structure of the Federal Crop Insurance Program (FCIP), which, excluding the livestock and dairy programs, insured approximately 561 million acres of crops and rangeland and provided $157 billion in liability coverage in the 2025 crop year (Tsiboe et al., 2026c; Tsiboe et al., 2026b; Tsiboe, 2026).

Traditional federal crop insurance products, such as Yield Protection (YP) and Revenue Protection (RP) offered in the FCIP, have long helped farmers recover from large production or revenue losses (Tsiboe et al., 2025). However, these policies do not cover all expected losses (yield or revenue). Indemnities generally begin only after losses exceed the deductible, which ranges from 15 to 50 percent of expected production. As a result, smaller losses (often referred to as "shallow losses") remain uninsured by traditional insurance products, yet they can significantly affect farm income.

To address this gap, a suite of supplemental crop insurance options, including the Supplemental Coverage Option (SCO), Stacked Income Protection Plan (STAX), and Margin Protection (MP), was introduced starting with the 2015–2016 commodity years. These products provide county-based coverage that layers on top of a producer's underlying policy, partially covering the deductible and reducing exposure to losses that fall short of triggering individual-policy indemnities.

Supplemental insurance products have seen limited adoption relative to the acreage eligible for them. Between 2015 and 2024, only a small share of insured acres nationwide carried supplemental coverage. Low participation is potentially due to some combination of additional premium cost, program complexity, eligibility restrictions, concerns about basis risk inherent in area-based triggers (Monaco et al., 2026; Tsay and Paulson, 2024; Tsiboe et al., 2023), and limited familiarity among producers and agents. Together, these factors have limited the reach and risk reduction potential of supplemental insurance within the

FCIP (Tsiboe et al., 2026a).

The One Big Beautiful Bill Act (OBBBA) substantially expands the role of supplemental and area-based crop insurance by increasing affordability, broadening eligibility, and increasing available coverage. The Act raises the premium subsidy rate for the SCO from 65 to 80 percent and USDA Risk Management Agency (RMA) extended this enhanced support to similar area-based products, including Enhanced Coverage Option (ECO), Margin Coverage Option (MCO), Hurricane Insurance Protection-Wind Index (HIP-WI), and Fire Insurance Protection-Smoke Index (FIP-SI), reducing producers' out-of-pocket costs. It also increases maximum coverage levels, allowing Whole-Farm Revenue Protection coverage up to 90 percent with the same 56 percent premium subsidy rate as the 85 percent coverage level. SCO starting coverage increased to 90 percent, beginning in the 2027 crop year, with interim access to the upper coverage band through ECO-90 in 2026. The ECO coverage band will also be reduced to 90 to 95 percent starting in 2027. OBBBA also decouples SCO purchases from commodity Title I choices: an Agriculture Risk Coverage (ARC) election no longer restricts SCO eligibility, and the associated ARC acreage reporting requirements disappear, thereby lowering administrative barriers and encouraging broader adoption of layered, area-based risk management tools.

This report examines the evolution, recent performance, and outlook of supplemental crop insurance under the FCIP, with particular emphasis on the changes introduced by OBBBA. Using RMA data from 2015–2025 and retrospective simulations based on the 2021–2024 demand environment, the analysis documents how producers have historically used supplemental insurance, how recent subsidy changes have reshaped adoption, and how the 2026 transition year of OBBBA and the 2027 program design may affect participation, costs, and protection across products, regions, and commodities.

The results point to several central findings. Historically, growth in supplemental insurance has come from a single heavily subsidized product rather than from producers steadily closing the deductible. Almost all of the expansion is ECO at the 95 percent coverage level, and it followed a subsidy change rather than accumulating year by year. Adoption stayed well below the eligible base until a separate administrative increase in the ECO premium subsidy for the 2025 crop year (Risk Management Agency [RMA], 2024), especially ECO at the 95 percent coverage level (ECO-95). By 2025, supplemental insured acres were 86 million, up from just 7 million in 2015, with ECO making up about 72 percent of the supplemental total, almost all of it at the 95 percent coverage level. SCO participation topped out at 6.79 percent of eligible acres in 2023 and drifted down to 4.69 percent by 2025.

The sharp increase in ECO adoption in 2025 likely reflects producers' sensitivity to premium costs. The

increase in the ECO subsidy rate was followed by immediate and geographically concentrated acreage responses, particularly in the Corn Belt, Northern Plains, and Upper Midwest. This response was highly asymmetric: ECO insured acreage climbed to roughly 4 times its 2024 level, concentrated at the 95 percent coverage level, while SCO adoption declined over the same period. The 86 to 95 percent band insured by ECO-95 sits at the top of the deductible and is mechanically more likely to trigger than the 86-to-underlying SCO band, so concentrating subsidy-supported demand on a high-trigger band is consistent with optimal choice when producers face a premium budget. At the same time, high acreage adoption does not translate proportionally into insured value: ECO-95 covers only roughly nine percent of expected production value, and the actual translation from acres into insured value also varies by region with the elected underlying coverage level. As a result, widespread participation yields only modest increases in insured value at the national level, and meaningful exposure to moderate losses can persist while ECO-95 dominates the supplemental footprint.

Adoption patterns also vary systematically across crops and regions. Major row crops such as corn and soybeans show strong demand for ECO-95, cotton maintains a multi-product stack, and rice and many specialty crops rely heavily on hazard-specific products such as HIP-WI, where repeated disaster experience and visible indemnities have reinforced participation. These patterns highlight that supplemental insurance functions as a collection of specialized tools rather than a uniform, layered system.

Looking ahead, and assuming historically observed purchase patterns for underlying basic coverage, early 2026 policy sales provide additional evidence of a strong producer response to the new subsidy environment, suggesting a substantial increase in supplemental insurance adoption during the 2026 transition year of OBBBA, with projected ECO adoption of 61.8 percent of eligible acres and SCO of 26.6 percent, roughly 2.3 and 5.7 times their 2025 rates. More broadly, the findings suggest that supplemental insurance under OBBBA increases protection at the margin rather than fundamentally eliminating deductible gaps, with producers responding strongly to subsidy-driven price signals by favoring relatively low-cost, high-coverage bands with frequent triggers. The analysis further indicates that the 2027 program design of OBBBA works on supplemental insurance from two directions, pairing larger subsidies with recalibrated coverage bands: cheaper out-of-pocket premiums arrive together with a revised premium and indemnity structure for SCO and ECO. Consequently, the adoption and net-benefit gains recorded during the transition year rest on the old coverage design and may not carry over one-for-one once the revised bands apply from 2027 onward.

This report has important implications for program design, fiscal exposure, and the distribution of risk

protection across crops, regions, and farm types, and is intended to inform ongoing policy discussions and stakeholder decision-making.

Supplemental Insurance Design and Offering in the United States

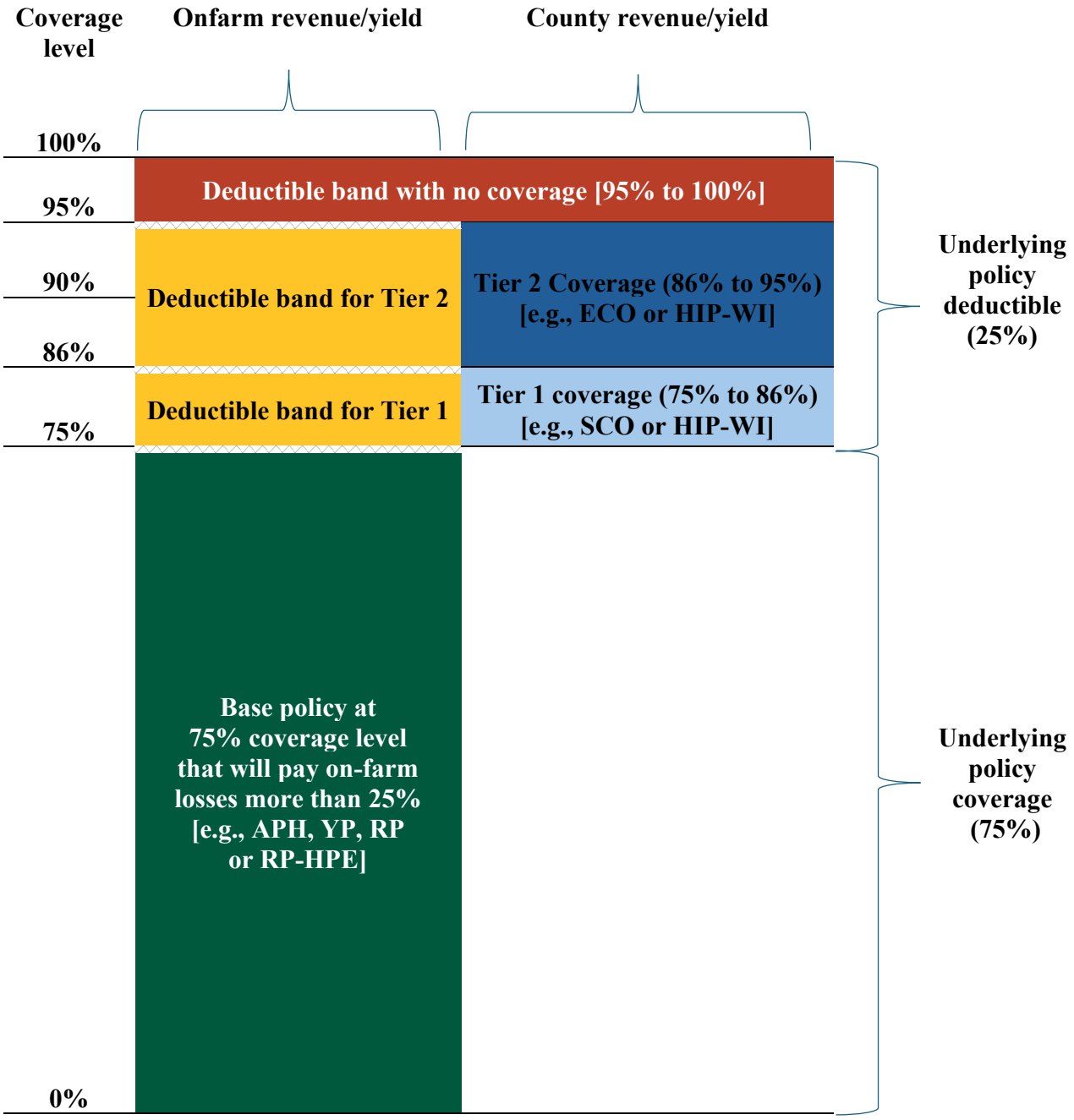
Insurance Design

For most FCIP policies, such as Actual Production History (APH), YP, RP, or Revenue Protection with Harvest Price Exclusion (RP-HPE), farmers select a coverage level, typically between 50 percent and 85 percent of their expected revenue or yield. Losses smaller than this coverage level fall within the policy deductible and are not compensated, even though they can still impose meaningful financial strain. Supplemental insurance is designed as an add-on to a farmer's primary crop insurance policy that helps close this "coverage gap" between the deductible of the basic, or underlying, policy and the full range of losses a farm may experience.

While basic FCIP policies can be either individual-based (triggered by a farmer's own yield or revenue outcomes) or area-based (triggered by county or regional results), nearly all supplemental insurance endorsements are index-based. Payments are triggered by county-level yields, revenues, margins, or other objective indexes rather than by individual farm losses. County- or area-based triggers improve insurance design by reducing moral hazard and adverse selection, since the index is exogenous to individual producer behavior, and they also lower per-policy administrative costs. They introduce basis risk in exchange; that is, the risk that a farmer's actual losses differ from the losses measured at the county or area level (Monaco et al., 2026; Tsay and Paulson, 2024; Tsiboe et al., 2023). In practical terms, this means that if a farmer has a loss on their farm, but the county does not, there is no payment.

Figure 1 illustrates how basic and supplemental crop insurance policies interact within the coverage framework as of the 2026 commodity year. The green section at the bottom represents the basic FCIP policy, which indemnifies only when farm-level losses exceed the full deductible, typically 25 percent or more of expected yield or revenue. In other words, losses within the deductible are not covered under the basic policy.

Figure 1: *Illustration of a Generic Supplemental Insurance Coverage Structure with Tiers.*



Source: NDSU Agricultural Risk Policy Center (ARPC).

Above the basic policy are shaded "tiers" of supplemental coverage that producers may elect to purchase to protect against smaller, or "shallow," losses that fall within the deductible range.[1] Tier 1 coverage, such as SCO, protects losses from 86 percent of expected revenue down to the basic policy coverage level. Tier 2 coverage, such as ECO, extends protection to higher coverage bands, for example from 86 percent up to 95 percent (or 90 percent, depending on the election). Some supplemental products, such as HIP-WI, span both Tier 1 and Tier 2, providing protection across a broader range (e.g., from 75 percent to 95 percent of expected revenue). Unlike the basic FCIP policies, which are triggered by farm-level losses, these supplemental tiers are triggered by county- or area-level outcomes.

To illustrate, consider a farm with expected revenue of $1,000 per acre and a basic RP policy at 75 percent coverage. The basic policy guarantees $750 per acre and only pays when losses exceed 25 percent (i.e., $250 per acre). If the farm's revenue falls to $850 per acre, the farmer experiences a meaningful loss of $150 per acre but receives no basic policy payment. If, at the same time, county-level revenue also declines to 88 percent of its expected level, supplemental coverage of Tier 2 (i.e., ECO) triggered by the county outcome could generate a payment that partially offsets the farm loss. However, if the county experiences little or no loss (even when the individual farm does), the supplemental policy does not pay, highlighting the role of basis risk.

The coverage bands in this illustration are those in force through the 2026 crop year. They are revised from 2027 onward, as described in the section on upcoming policy changes, so the figure is a picture of the structure the historical record was generated under rather than of the structure going forward.

The degree to which supplemental insurance is attractive depends partly on how closely a farm's outcomes track county or area outcomes. More specifically, it depends on how closely deviations in farm revenue from expected levels are correlated with deviations in county revenue from expected county revenue. Lower basis risk, where farm-level deviations closely align with area-level deviations, is associated with greater use of supplemental coverage. Farms with acres distributed across a county, or farms that closely resemble the dominant production patterns in the area, are more likely to have on-farm outcomes that are highly correlated with indemnity payments. In contrast, a small farm located within a large county may experience on-farm losses that have low correlation with the county index.

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[1] Throughout this report, *Tier 1* refers to supplemental coverage between the underlying policy coverage level and 86 percent of expected county yield or revenue (e.g., SCO). *Tier 2* refers to supplemental coverage above 86 percent (e.g., ECO at the 90 or 95 percent coverage level).

This issue becomes even more pronounced when the area used to calculate losses extends beyond a single county. For some crops, particularly those with limited local acreage or specialized production systems, the "area" used in an index-based policy may include multiple neighboring counties or, in some cases, span multiple states. This is especially common for irrigated crops, where production is sparse and geographically dispersed. As the size of the insured area increases, the likelihood that localized farm-level losses will be offset by favorable outcomes elsewhere also increases, raising basis risk and potentially reducing the effectiveness of supplemental insurance.

The layered risk management approach created by combining basic and supplemental policies allows farmers to combine the strengths of different insurance tools to create a risk management portfolio that is tailored to their specific preferences. The basic policy protects against severe, farm-specific losses, while supplemental tiers provide area-based protection against moderate losses, when farm outcomes align sufficiently with broader local conditions.

Supplemental Offerings

Since the introduction of supplemental crop insurance under the 2014 Farm Bill, the portfolio of available products has expanded steadily in scope and specialization. Table 1 and Table 2 document how supplemental insurance offerings, eligibility rules, coverage ranges, and subsidy rates evolved from 2015 through 2025, prior to enactment of the OBBBA. This evolution reflects a policy shift toward layered, area-based risk management tools designed to complement individual farm insurance policies while addressing both deductible gaps and region-specific risks.

The initial supplemental products authorized by the 2014 Farm Bill, SCO and STAX, focused on area-based revenue protection tied to county-level yield or revenue outcomes. Eligibility for supplemental coverage requires participation in an underlying individual policy, such as APH, YP, RP, or RP-HPE. Historically, participation in SCO was also linked to Commodity Title I program elections, requiring producers to choose between SCO and ARC. As discussed in a later section, this linkage was removed under OBBBA, expanding access to SCO.

The SCO plan was designed to fill the deductible gap between a producer's basic policy coverage level and 86 percent of the county's expected yield or revenue, while STAX provided higher-band area coverage for upland cotton producers, with protection extending from the basic policy level up to 90 percent of county revenue. Subsequent RMA program expansions broadened the scope of supplemental

insurance beyond deductible coverage. The MP plan, introduced in 2016, extended coverage to operating margin risk by jointly insuring yields, prices, and selected indexed input costs.[2] Later endorsements, including HIP-WI, Post-Application Coverage Endorsement (PACE), and FIP-SI, targeted discrete, location-specific hazards using index-based triggers.

The ECO plan further increased the supplemental coverage tier by extending area-based protection above 86 percent to coverage levels of 90 or 95 percent (ECO-90 and ECO-95). The ECO plan also illustrates the growing importance of subsidy policy in shaping adoption incentives: while early ECO subsidy rates were lower than those for SCO, later program expansions increased subsidy support, narrowing cost differences across supplemental products and improving ECO's cost-effectiveness.

MCO represents a related but distinct extension of this framework. Like SCO and ECO, MCO is area-based, but it insures operating margins (like MP) rather than yields or revenues alone. For crop year 2026, the MCO plan offers coverage from 95 or 90 percent (MCO-95 and MCO-90) down to 86 percent and is available only for selected crops and counties. Because its coverage band does not overlap with SCO, MCO can be combined with SCO, but it cannot be used with ECO.[3] Beyond coverage differences, the choice between MCO and ECO reflects important timing considerations: MCO has an earlier sales closing date (September 30 prior to the crop year) requiring producers to commit before finalizing their underlying policy or electing SCO or ECO. The earlier sales closing date also means an earlier discovery price period for projected prices. Although MCO shares the same harvest price period and county-yield trigger structure as ECO, the interval from election to potential indemnity is typically longer, making early commitment a defining feature of MCO participation.

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[2] MP may be purchased as a standalone basic plan or as a supplemental endorsement layered on a YP, RP, or RP-HPE policy. In the analyses that follow, MP records are treated according to the delivery type under which the Summary of Business reports them, as a standalone policy or as an endorsement.

[3] OBBBA raises the MCO premium subsidy rate to 80 percent (Risk Management Agency [RMA], 2025), and the Federal Crop Insurance Corporation has approved a corresponding recalibration of the MCO coverage band for crop year 2027: MCO will cover county margins from 90 to 95 percent, so the 90 percent coverage level (MCO-90) is no longer offered (Risk Management Agency [RMA], 2026). The MCO-with-SCO combination remains available in 2027; the MCO-with-ECO restriction also remains in place.

Table 1: ***Supplemental Crop Insurance Products: Chronological Overview (2015–2020).***

Year	Product Name	Purpose / Description	Coverage Range	Eligibility	Trigger Type	Base Policy Required?	Subsidy Rate
2015	Supplemental Coverage Option (SCO)	Endorsement that fills the deductible gap between a base policy's coverage and 86 percent of expected yield or revenue.	Base policy level → 86 percent	APH, YP, RP, RP-HPE holders	County yield or revenue	Yes	65 percent
2015	Stacked Income Protection Plan (STAX)	Area-based revenue protection for upland cotton; can be purchased alone or stacked with another policy.	90 percent → base coverage (cotton only)	Upland cotton producers	County revenue	No (can stack)	80 percent
2016	Margin Protection (MP)	Protects against margin declines from lower yields, prices, or higher input costs; can be used standalone or combined with YP or RP.	Variable	Eligible crops	County margin	No (can combine)	Varies
2020	Hurricane Insurance Protection – Wind Index (HIP-WI)	Covers part of the deductible when hurricane-force winds occur in or near the county; includes an optional Tropical Storm add-on.	Portion of deductible	Eligible crops in designated counties	Hurricane-force wind index	Yes	Varies

Note: Acronyms: Actual Production History Yield (APH), Yield Protection (YP), Revenue Protection (RP), Revenue Protection with Harvest Price Exclusion (RP-HPE).

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency.

Table 2: ***Supplemental Crop Insurance Products: Chronological Overview (2021–2025).***

Year	Product Name	Purpose / Description	Coverage Range	Eligibility	Trigger Type	Base Policy Required?	Subsidy Rate
2021	Enhanced Coverage Option (ECO)	Extends coverage above 86 percent with options up to 90 percent or 95 percent; can be purchased with or without SCO.	86 percent → 90 percent or 95 percent	APH, YP, RP, RP-HPE holders	County yield or revenue	Yes	51 percent (YP/APH), 44 percent (RP/RP-HPE)
2022	Post-Application Coverage Endorsement (PACE)	Protects corn producers unable to apply nitrogen post-planting due to adverse weather or field conditions.	Portion of deductible	Corn producers using post- or split-applied nitrogen	Weather prevention index	Yes	Varies
2024	Enhanced Coverage Option (ECO)	Extends coverage above 86 percent with options up to 90 percent or 95 percent; can be purchased with or without SCO.	86 percent → 90 percent or 95 percent	APH, YP, RP, RP-HPE holders	County yield or revenue	Yes	65 percent
2025	Fire Insurance Protection – Smoke Index (FIP-SI)	Covers crop losses from wildfire smoke exposure using a county-level smoke index; particularly relevant for specialty crops.	Portion of deductible	Crops prone to smoke damage	Smoke exposure index	Yes	Varies

Note: Acronyms: Actual Production History Yield (APH), Yield Protection (YP), Revenue Protection (RP), Revenue Protection with Harvest Price Exclusion (RP-HPE).

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency.

Upcoming Supplemental Insurance Policy Changes

The OBBBA represents a substantial expansion of area-based and supplemental crop insurance by simultaneously increasing affordability, broadening eligibility, and changing interactions with existing Commodity Title I programs (Risk Management Agency [RMA], 2025). Central to the Act is enhanced premium support across supplemental products: the federal subsidy rate for SCO increases from 65 to 80 percent, with the same enhanced support extended to closely related products, including ECO, MCO, HIP-WI, and FIP-SI (see Table 3). These changes substantially reduce producers' out-of-pocket premium costs and improve the relative attractiveness of area-based risk management tools.

The OBBBA also expands the depth of available coverage. Whole-Farm Revenue Protection (WFRP) is technically a basic policy, but because it can be purchased alongside individual multi-peril crop insurance policies on individual crops, it interacts with the supplemental architecture and is described here. Under OBBBA, the maximum insurable WFRP coverage level increases from 85 to 90 percent, with the new 90 percent coverage level receiving the same premium subsidy rate as the 85 percent coverage level (56 percent).[4] For SCO, the maximum coverage level is scheduled to rise from 86 to 90 percent beginning in the 2027 commodity year. As a transitional measure, producers in 2026 could effectively access coverage up to 90 percent by stacking SCO with ECO-90, with ECO in the upper band receiving the same 80 percent subsidy now applied to SCO. ECO is also scheduled to be available only from 90 to 95 percent coverage, stacking on top of the SCO coverage band. This approach allowed producers to realize higher coverage in 2026, ahead of formal SCO contract revisions.

A further major reform removes long-standing coordination constraints between Commodity Title I programs and supplemental insurance. Under OBBBA, producers may purchase SCO regardless of their ARC election, eliminating the previous restriction tying SCO eligibility to Price Loss Coverage (PLC) participation. In addition, acreage reporting requirements for SCO on ARC-elected acres are eliminated, reducing administrative burden. These changes broaden the set of combinations in which SCO can be purchased.

[4] See https://www.rma.usda.gov/about-crop-insurance/frequently-asked-questions/whole-farm-revenue-protection-plan-2026.

Table 3: *Supplemental Coverage Subsidy Schedule.*

	Subsidy Percent by Reinsurance Year		
Product Name	Before 2025	2025	After 2025
SCO	65	65	80
STAX	80	80	80
HIP-WI	65	65	80
ECO-YP/APH	51	65	80
ECO-RP/RP-HPE	44	65	80
PACE-75	55	55	80
PACE-80	48	48	80
PACE-85	38	38	80
PACE-90	38	38	80
MCO	-	-	80
FIP-SI	-	65	80

Note: SCO = Supplemental Coverage Option. STAX = Stacked Income Protection Plan. HIP-WI = Hurricane Insurance Protection-Wind Index. ECO-YP/APH = Enhanced Coverage Option stacked on Actual Production History (APH) or Yield Protection (YP). ECO-RP/RP-HPE = Enhanced Coverage Option stacked on Revenue Protection (RP), or Revenue Protection with Harvest Price Exclusion (RP-HPE). PACE = Post-Application Coverage Endorsement at different coverage levels. MCO = Margin Coverage Option. FIP-SI = Fire Insurance Protection-Smoke Index.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency.

Beginning Farmer and Rancher status was also redefined to cover producers who have not actively operated and managed a farm or ranch with an insurable interest for more than 10 crop years (i.e., producers within their first 10 years of farming). In addition to existing benefits, including an extra 10 percent premium subsidy for up to 10 years, Beginning Farmers and Ranchers receive enhanced subsidies early in participation: an additional 5 percent subsidy in each of the first two years, 3 percent in the third year, and 1 percent in the fourth year. These provisions lower the cost of entering or deepening participation in the crop-insurance program and strengthen incentives for supplemental insurance use among newer producers.

While the statutory changes under the OBBBA are significant, their economic effects are expected to unfold gradually. Implementation was shaped by statutory effective dates, the structure of the crop insurance calendar, and long-standing administrative and contractual constraints, resulting in a staggered rollout rather than an immediate system-wide shift in producer incentives.

In June 2026, RMA issued revised SCO policy provisions to increase the maximum coverage level from 86 percent to 90 percent.[5] The revisions take effect beginning with the 2027 crop year for crops with a June 30, 2026, contract-change date and with the 2028 crop year for crops with an earlier contract-change date. Similarly, the ECO coverage level will run from 90 to 95 percent only, essentially eliminating ECO-90 (incorporated into SCO) and leaving ECO-95 with a narrower coverage band. On the other hand, ECO-95 is expected to carry lower liability and a lower base rate, although the same deductible. This revision alters the economics of SCO by widening the insured deductible band from the producer's underlying policy coverage level up to 90 percent, which is expected to increase both the amount of liability insured and the associated base premium rates. Although the higher 80 percent federal subsidy under OBBBA will offset part of this increase, SCO may become the most expensive supplemental product in absolute premium terms in many settings. The magnitude of this effect, however, will depend on the net change in liability and premium rates as well as the specific policy context, including crop, county, plan, coverage level, and unit structure. The revision also changes how the federal products themselves overlap. Because the statutory design of the federal crop insurance system avoids duplicative coverage of the same loss layer, widening SCO to 90 percent leaves ECO-90 covering an interval that SCO now insures, which is why ECO is scheduled to run from 90 to 95 percent only from 2027 and ECO-90 is folded into SCO. The same logic governs the boundary with private multiperil products written over the deductible layer. Thus, while the 2027 revision completes the formal incorporation of OBBBA into SCO contracts, its effect on product choice will ultimately depend on how producers assess the added protection relative to any increase in net cost. Approximate net costs for SCO and ECO under the 2027 commodity year framework are presented in the outlook section of this report.

Finally, OBBBA marginally increased subsidy rates for basic (underlying) policies. The magnitude of the increase varies by coverage level and insurance unit election. Nevertheless, lower producer-paid premiums may encourage greater participation and increase the likelihood that producers stack supplemental insurance on eligible acres.

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[5] See https://www.rma.usda.gov/policy-procedure/bulletins-memos/product-management-bulletin/pm-26-036-enhanced-coverage-option.

Historical Supplemental Insurance Enrollment and Adoption

This section documents the historical evolution of supplemental crop insurance enrollment and adoption under the FCIP from 2014 through 2025. We begin by situating supplemental products within the broader FCIP book of business, examining trends in policies, insured acres, premiums, and indemnities. We then analyze how adoption patterns vary across products, commodities, and regions, first using acreage-based measures to capture participation intensity and then extending the analysis to value-based measures that reflect economic risk protection. Together, these perspectives provide a comprehensive view of how supplemental insurance has expanded within FCIP, and how producers have incorporated these products into their risk management portfolios.

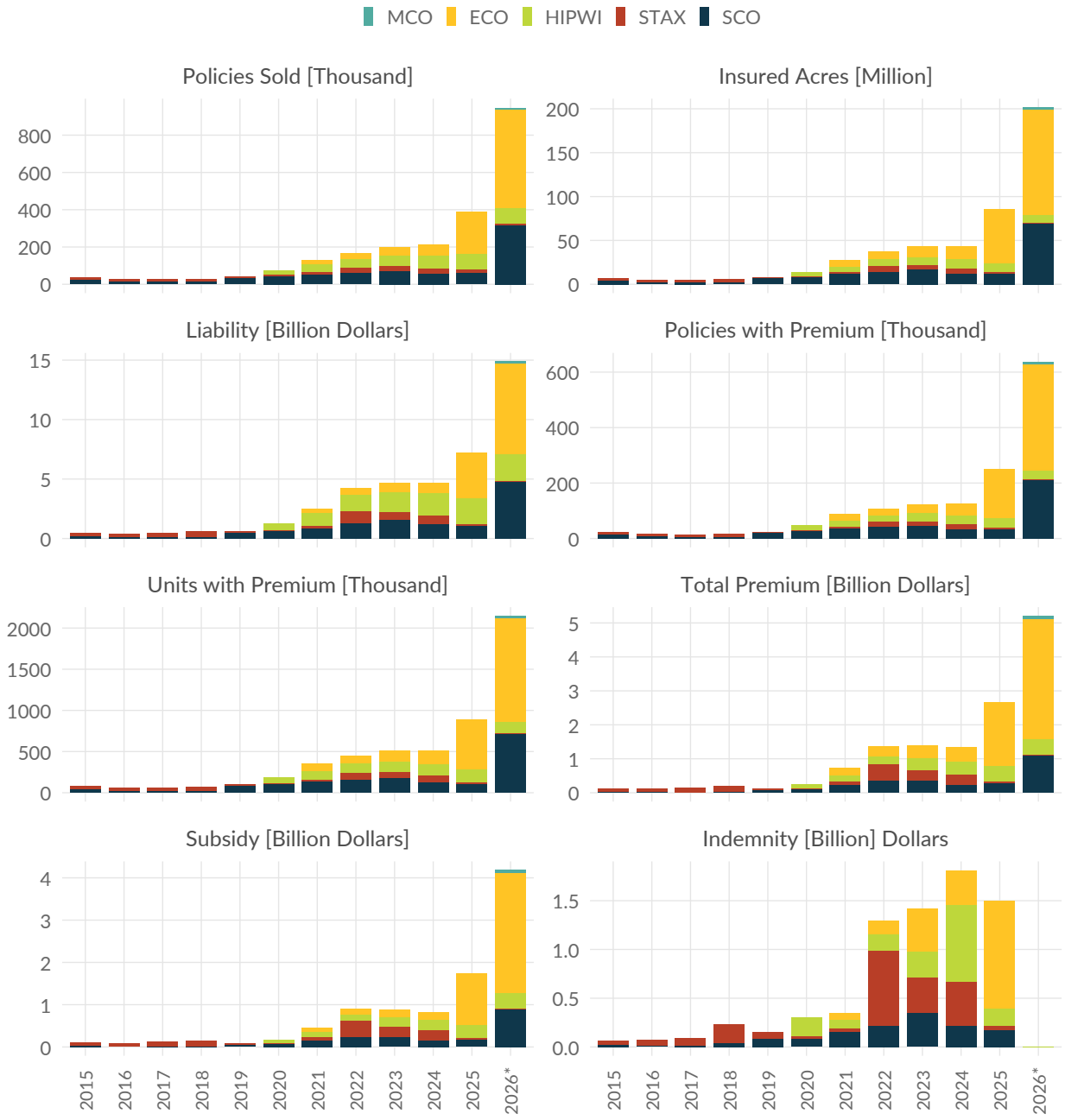
Aggregate Enrollment, Liability, and Premiums (Book of Business)

Figure 2 sets out the program's book of business across eight panels: policies sold, policies with premium, units with premium, insured acres, liability, total premium, subsidy and indemnity. Taking the levels first, from 2015 to 2025 FCIP provided an average of $114.24 billion of insurance protection (liability) annually for U.S. agricultural producers across all commodities for individual-based basic plans (APH, YP, RP, or RP-HPE). Over this same period, the average net insured area for these plans was 235.87 million acres (across 2.03 million policies sold), and the program generated premiums averaging $10.6 billion annually. Additionally, on average, the program paid out $8.29 billion in indemnities to producers each year.

Supplemental enrollment has generally increased since 2015, both in insured acres and in the number of policies. The most notable example is ECO. Following a substantial increase in the ECO subsidy rate from about 44 percent to 65 percent in 2025, ECO policies sold rose by roughly 3.9 times relative to 2024, and by roughly 8.8 times relative to its first year of availability in 2021. Early 2026 data, reflecting the 80 percent subsidy rate, show continued strong growth under OBBBA.

This contrasts with SCO, which was first available in 2015, briefly declined during 2016–2018, and then gradually recovered through 2023. The HIP-WI plan, first available in 2020, recorded moderate initial adoption that grew steadily through 2025. STAX, by comparison, fluctuated within a narrower range from 2015 through 2025, likely reflecting changing conditions within the relatively small population of cotton producers eligible to purchase the policy.

Figure 2: ***Federal Crop Insurance Summary of Business from 2014 to 2026.***



Note: SCO = Supplemental Coverage Option. STAX = Stacked Income Protection Plan for upland cotton. ECO = Enhanced Coverage Option. MCO = Margin Coverage Option. HIPWI = Hurricane Insurance Protection-Wind Index. An asterisk marks the most recent crop year, for which the Summary of Business is still accumulating and the totals shown are preliminary.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Trends in insured acres largely mirror the patterns observed for total policies. Supplemental insured acreage grew from roughly 6.53 million acres in 2015 to more than 85.83 million acres in 2025. ECO drove most of this expansion: insured acres under the plan increased from about 7.12 million in 2021 to 15.65 million in 2024, then surged to more than 61.92 million in 2025, accounting for roughly 72.14 percent of all supplemental acres that year. SCO acreage followed a path similar to its policy counts, declining from about 4.04 million acres in 2015 to under 1.95 million by 2018, then rising to a peak of nearly 16.82 million in 2023 before settling at approximately 12.13 million in 2025. HIP-WI acreage grew steadily from 5.11 million acres in 2020 to 10.56 million in 2025. STAX acreage fluctuated considerably, ranging from under 0.36 million acres in 2020 to nearly 6.86 million in 2022.

The cost-side panels of Figure 2 move with that enrollment. Liability under the supplemental plans rose from $2.54 billion in 2021, the first year ECO was available, to $7.18 billion in 2025, and the federal subsidy attached to those plans rose from $0.45 billion to $1.74 billion over the same period. These are the quantities the 2027 outlook in the next section revisits, and they are reported here so the scale of the program is established before the projections begin.

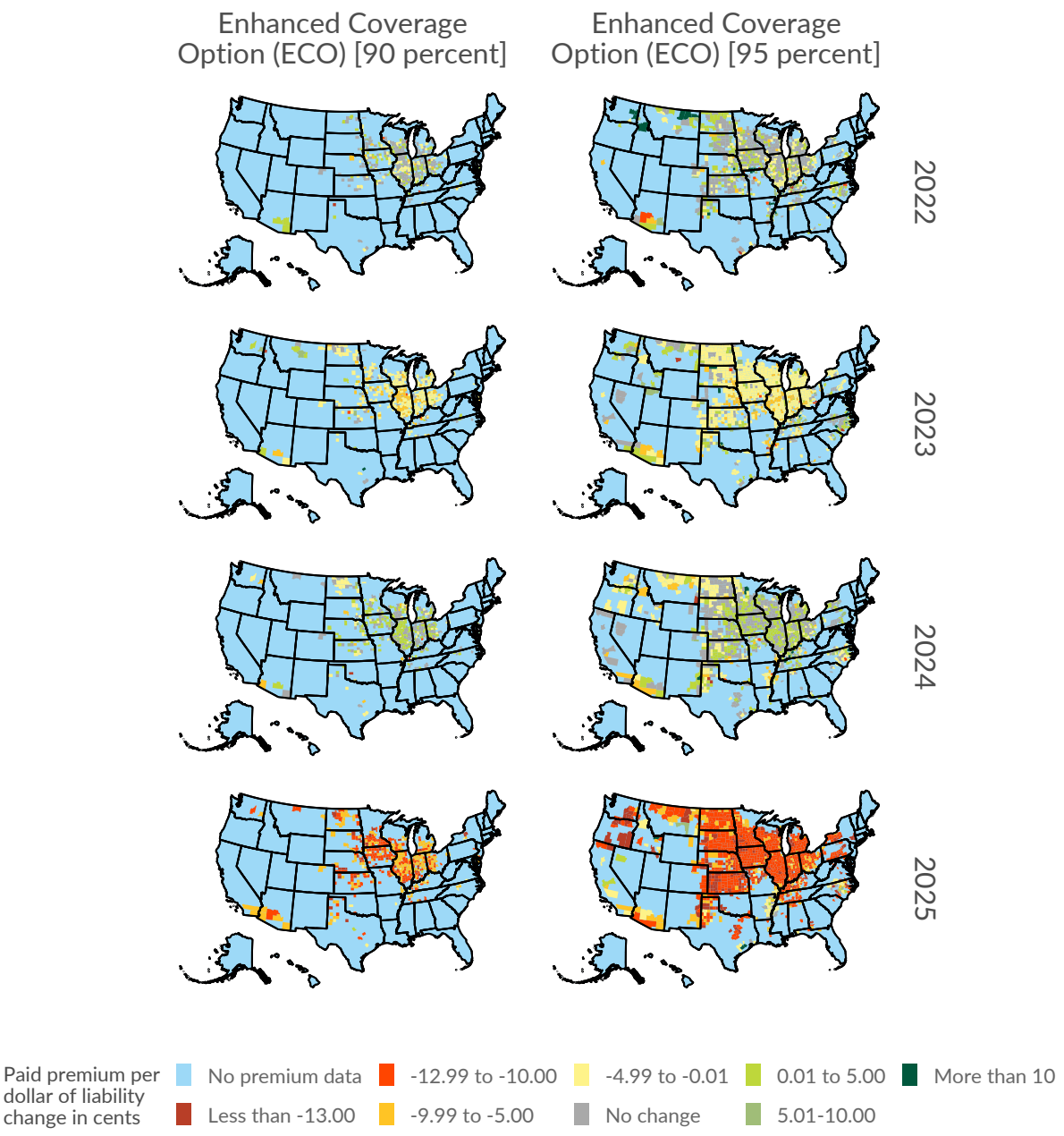
Acreage Shifts Under the Special Case of ECO in 2025

Figure 3 and Figure 4 jointly show how changes in the paid premium per dollar of liability translated into county-level adoption responses for ECO between 2022 and 2025,[6] a pattern consistent with latent demand built up through years of exposure to SCO and ECO being unlocked by the 2025 ECO subsidy increase, particularly for ECO-95. From 2022 through 2024, premium changes for both ECO-90 and ECO-95 were modest and spatially dispersed. This pattern is consistent with incremental portfolio adjustments rather than widespread entry into ECO coverage.

A sharp structural break occurs in 2025, largely coinciding with RMA's program expansion, which increased ECO subsidy rates to 65 percent (Risk Management Agency [RMA], 2024). Figure 3 shows a broad and pronounced reduction in premiums in 2025 for ECO-95 across the Heartland, Northern Plains, Corn Belt, and Upper Midwest, while ECO-90 experienced smaller and less uniform price declines.

[6] Paid premium per dollar of liability is the base rate times one minus the premium subsidy rate, so a change in it reflects either a change in the underlying rate or a change in the subsidy rate.

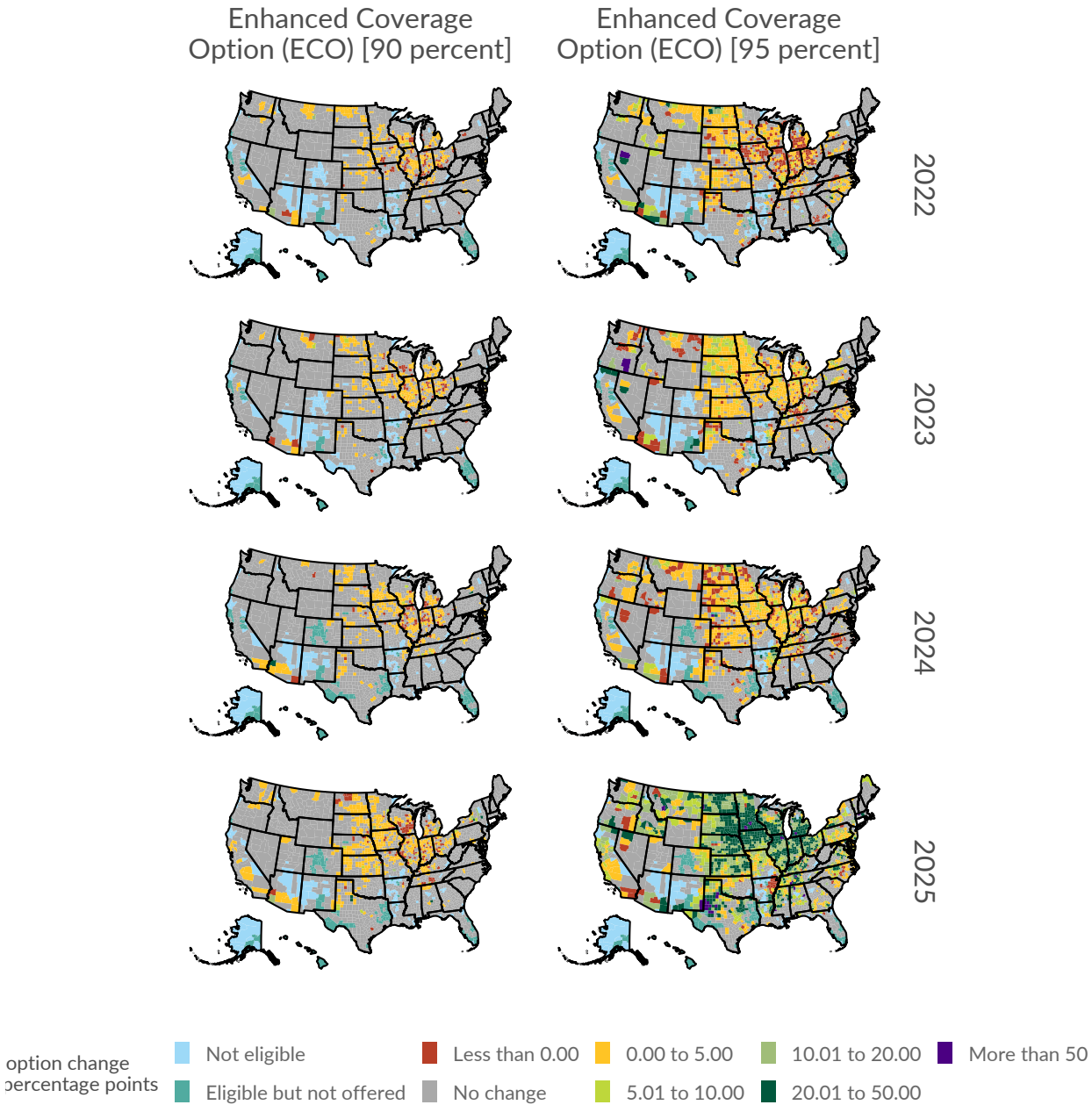
Figure 3: ***Supplemental Coverage Premium Change by County (ECO, 2022 to 2025).***



Note: Shading distinguishes county level annual changes in the producer paid premium per dollar of liability. Each panel reports the change relative to the immediately preceding crop year, not relative to a fixed 2022 base; the 2025 panel therefore shows the change from 2024 to 2025.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Figure 4: ***Supplemental Coverage Adoption Change by County (ECO, 2022 to 2025).***



Note: Shading distinguishes county level annual changes in adoption measured as the share of eligible insured acres enrolled in the respective supplemental plan. Each panel reports the change relative to the immediately preceding crop year, not relative to a fixed 2022 base; the 2025 panel therefore shows the change from 2024 to 2025. County eligibility is defined by the presence of relevant basic insurance policy (e.g., SCO and ECO require individual-based insurance policy like Actual Production History (APH), Yield Protection (YP), Revenue Protection (RP), or Revenue Protection with Harvest Price Exclusion (RP-HPE)).

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

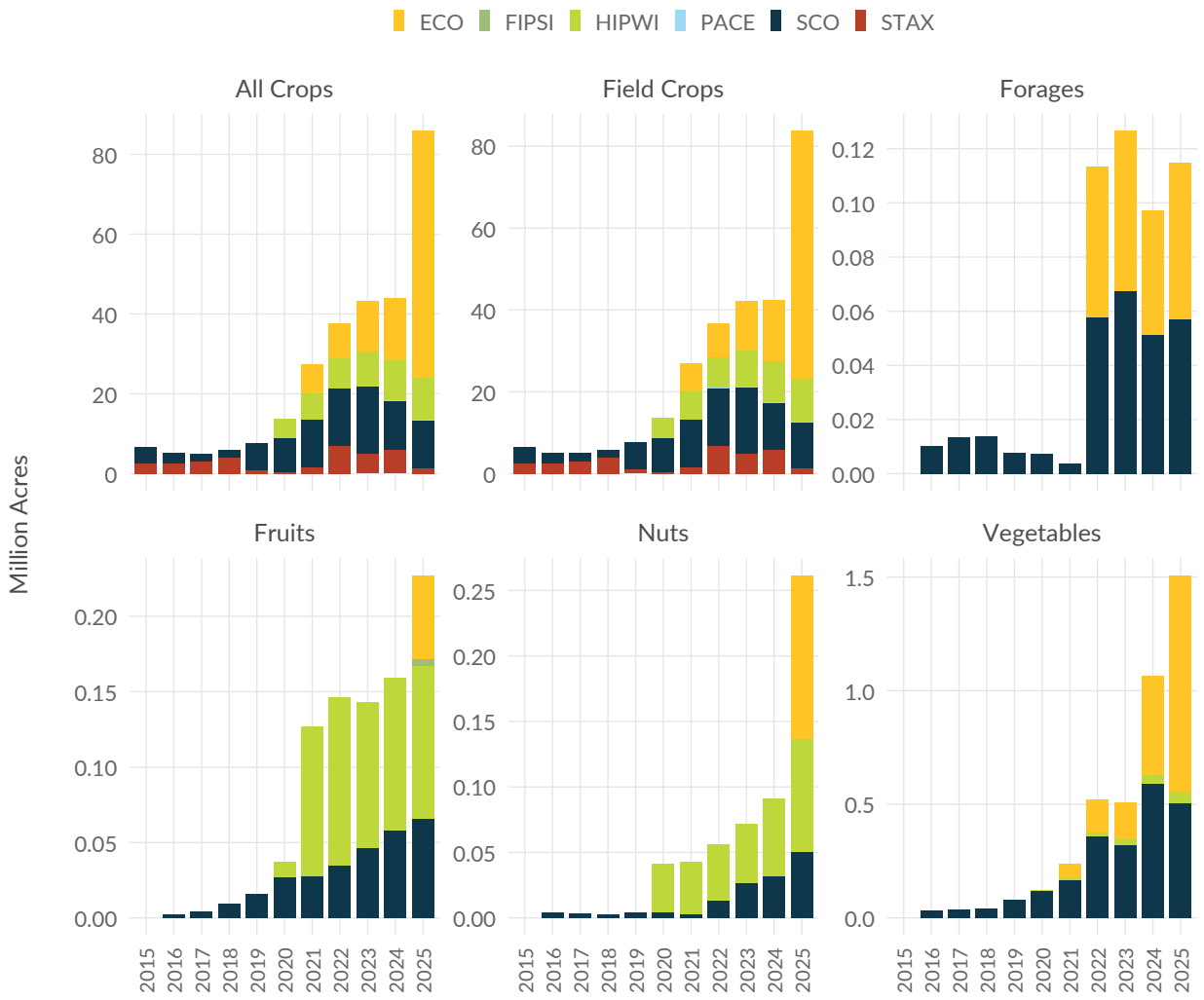
Figure 4 focuses on adoption change, which mirrors this premium movement: counties with the largest ECO-95 premium reductions exhibit the largest increases in enrolled acreage, often reaching double-digit gains, whereas ECO-90 adoption remains muted.[7] This asymmetric response highlights producers' strong sensitivity to low-cost coverage at the top of the deductible, where ECO-95 insures a highly loss-sensitive band. Overall, the figures indicate that the 2025 surge in ECO adoption was at least partly attributable to the administrative increase in the ECO premium subsidy rate.

Supplemental Acres by Commodities

Acres under supplemental insurance vary by crop type. Figure 5 presents insured acres across five crop groups. Field crops, which account for the largest share of U.S. cropland, exhibit the most layered structure, with participation in ECO, SCO, HIP-WI, and STAX representing nearly its totality. Consistent with the earlier discussion, field crop producers have increasingly adopted ECO, with enrollment beginning almost immediately after it became available in 2021. In contrast, fruit and nut producers exhibit relatively higher participation in HIP-WI. These labor-intensive industries operate on a small share of total cropland and are geographically concentrated in coastal states such as California, Florida, and Washington. Although ECO was introduced for the 2021 crop year, it wasn't made available for some fruits and nuts until the 2025 crop year, meaning initial adoption did not occur until 2025 (Risk Management Agency [RMA], 2024). The two groups not yet mentioned sit at opposite ends of the remaining range. Vegetables carry 1.51 million supplemental acres in 2025, more than fruits and nuts combined but still a small fraction of the 83.73 million in field crops, while forages have the smallest footprint of any group shown at 0.11 million acres. Each panel is drawn on its own scale, so the visual heights are not comparable across groups.

[7] The correspondence between premium and adoption changes in Figure 3 and Figure 4 is consistent with a behavioral response to the 2025 subsidy change but does not constitute a formal identification strategy.

Figure 5: ***Supplemental Insurance Use by Commodity Group from 2015 to 2025, Insured Acres in Millions.***



Note: Field crops include wheat, canola, oats, millet, rice, cotton, flax, sugarcane, sugar beets, corn, popcorn, safflower, hybrid sorghum seed, sorghum, cultivated wild rice, hybrid corn seed, peanuts, sunflowers, hybrid seed rice, soybeans, potatoes, barley, buckwheat, triticale, tobacco, sesame, and hemp. Fruits include the output (and where applicable the trees) for blueberries, peaches, prunes, grapes, apples, cranberries, strawberries, tangerine trees, grapefruit, lemons, tangelos, orange trees, grapefruit trees, lemon trees, lime trees, all other citrus trees, avocado trees, oranges, papaya, papaya tree, mandarins/tangerines, and tangors. Nuts include the output (and where applicable the trees) for pecans, macadamia nuts, macadamia trees, almonds, walnuts, coffee, coffee tree, and pecan trees. Forages include forage production, rye, and alfalfa seed. Nurseries include nursery (field grown and container), and nursery (Nursery Value Select). Vegetables include onions, sweet corn, fresh market sweet corn, processing beans, dry beans, green peas, dry peas, mustard, cabbage, mint, clary sage, peppers, fresh market tomatoes, tomatoes, fresh market beans, cucumbers, pumpkins, and sweet potatoes. All crops include all the listed crops above and all other commodities not specified.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Field Crops

Figure 6 shows that combined supplemental insurance use across field crops rose to 83.7 million acres in 2025, compared with 6.54 million acres in 2015 and 42.51 million acres in 2024. This represents an increase of 77.16 million acres (1179.82 percent) since 2015 and 41.19 million acres (96.89 percent) from the previous year. Most of the recent growth was driven by ECO, whose acres increased by 45.56 million year over year and accounted for 110.61 percent of the total increase. The crop-by-crop detail behind that aggregate, for corn, soybeans, wheat, rice and cotton in turn, is set out in the paragraphs that follow.

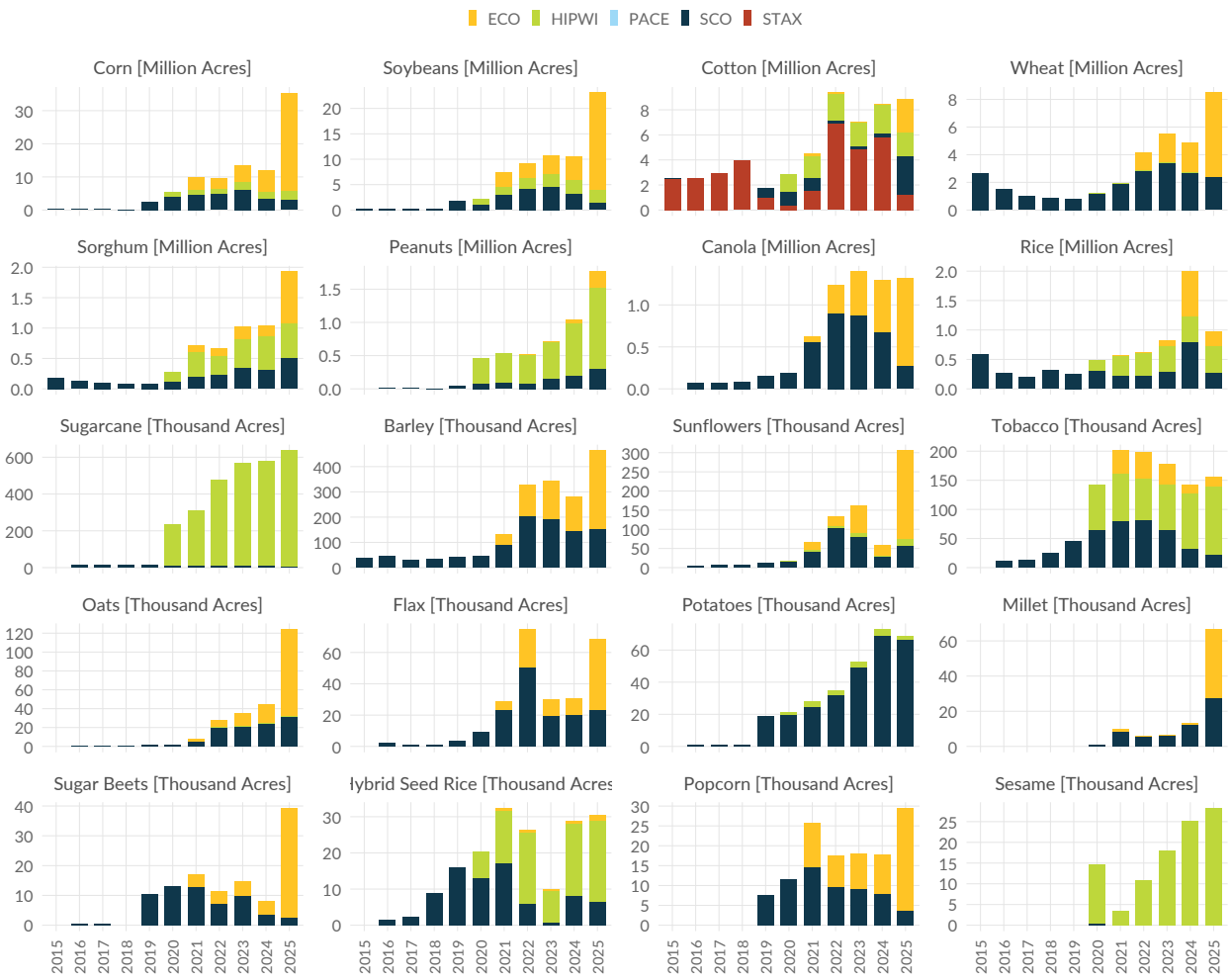
For corn, ECO acres rose from 6.49 million in 2024 to 29.7 million in 2025, while SCO declined from 3.3 to 2.94 million acres, indicating that most new supplemental participation occurred through stacking ECO rather than expanding SCO. A similar pattern holds for soybeans, where ECO increased from 4.59 to 19.09 million acres between 2024 and 2025, while SCO fell from 3.11 to 1.35 million acres. For wheat, ECO nearly tripled from 2.15 to 6.08 million acres, as SCO edged down from 2.67 to 2.36 million acres, reinforcing the broader shift toward upper-deductible protection.

Rice exhibits a distinct supplemental insurance pattern dominated by HIP-WI rather than ECO or SCO. Prior to 2020, rice producers relied mainly on SCO at modest levels, never exceeding the 586.1 thousand acres recorded in 2015, but the introduction of HIP-WI marked a structural shift: HIP-WI acreage rose from 199.88 thousand acres in 2020 to 452.1 thousand acres by 2024. Most U.S. rice production is concentrated in Gulf Coast and Lower Mississippi counties where named-storm exposure is highest, and HIP-WI uptake is similarly concentrated in those counties. Because ECO cannot be purchased on acreage already covered by HIP-WI, producers in those counties cannot add ECO as a further layer on the same acres, which limits how far ECO can spread in the rice belt regardless of its subsidy rate.[8] ECO participation remained limited until 2024, when it briefly surged to 758.06 thousand acres, surpassing HIP-WI and approaching SCO, before falling back to 237.73 thousand acres in 2025 even as the higher ECO subsidy took effect nationally, indicating that the 2024 surge reflected pricing conditions specific to some rice-county combinations rather than a durable shift toward ECO. SCO acreage among rice producers also declined after 2024, falling from 779.83 thousand acres to 265.76 thousand acres in 2025.

[8] The ECO Endorsement provides that it may not be combined with the Hurricane Insurance Protection – Wind Index Endorsement on any acreage planted to the insured crop.

Crop-specific products also stand out. Cotton exhibits a distinctive multi-product stack, with substantial shifts across STAX, HIP-WI, SCO, and ECO. In particular, ECO acreage increased from 0.08 million acres to 2.65 million acres and SCO acreage increased from 0.24 million acres to 3.08 million acres in 2025, while STAX acreage fell sharply from 5.82 million acres to 1.22 million acres. This pattern suggests that cotton producers reallocated supplemental coverage away from STAX and toward ECO and SCO as relative product attractiveness changed. By contrast, HIP-WI acreage generally follows a steadier and more regionally concentrated trajectory, consistent with its regional eligibility requirements, remaining especially relevant for crops such as sugarcane, peanut, tobacco, cotton, sesame, and rice.

Figure 6: ***Supplemental Insurance Use by Selected Field Crops from 2015 to 2025, Insured Acres in Millions.***



Note: Commodity group membership is defined in the note to the supplemental insurance use by commodity group figure.

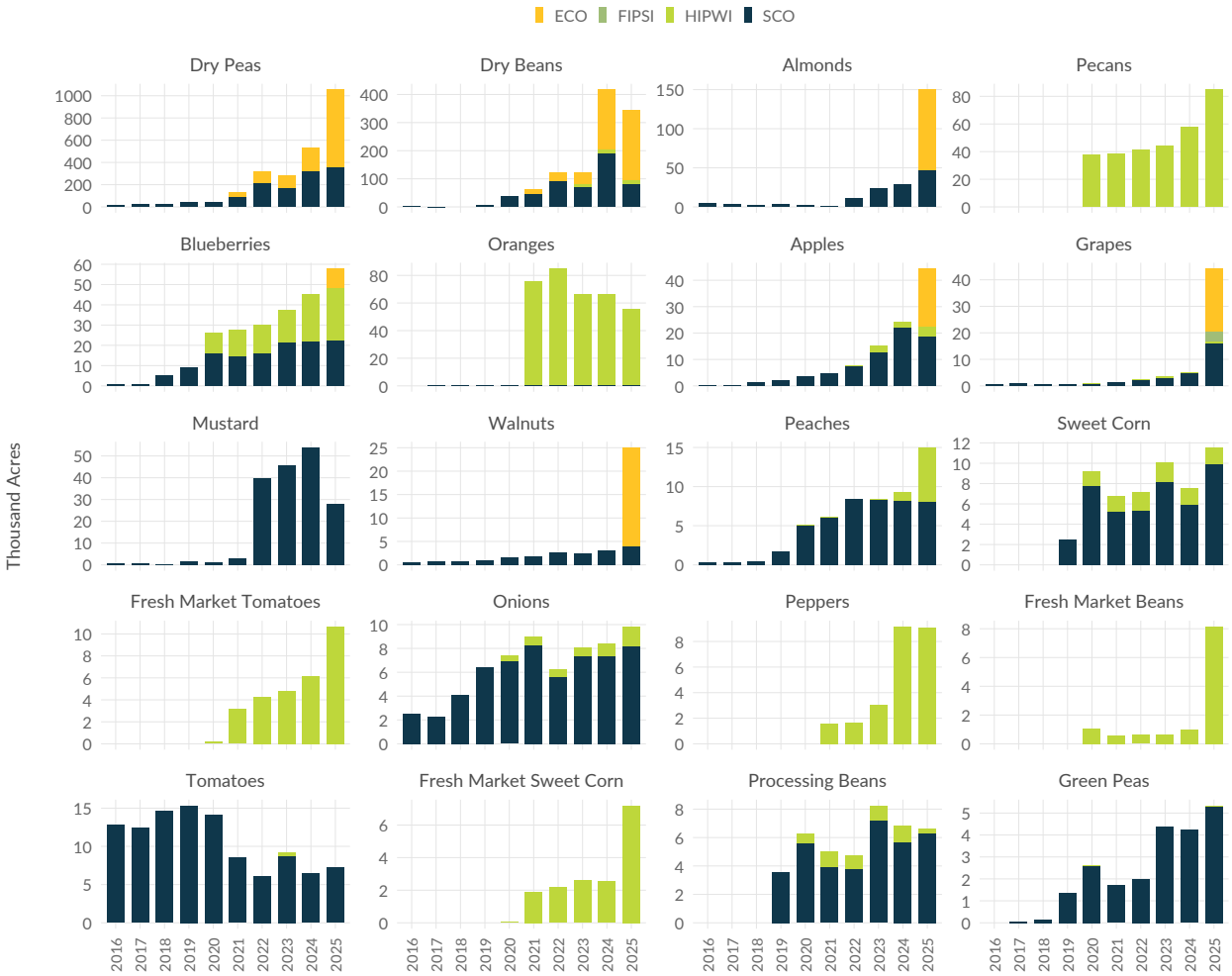
Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Specialty Crops

Across specialty crops, supplemental insurance adoption from 2016 to 2025 is highly uneven and concentrated in a limited set of crops and products, reflecting differences in risk exposure, product design, and pricing incentives. HIP-WI is the dominant supplemental instrument for perennial and coastal specialty crops where hurricane risk is material and recurrent. This pattern, shown in Figure 7, is most evident for pecans, where insured acreage increases steadily from 37.35 thousand acres in 2020 to 84.84 thousand acres in 2025, as well as for oranges, fresh-market tomatoes, peppers, fresh-market beans, sweet corn, and blueberries, all of which show gradual but persistent growth driven by repeated storm events and the automatic, index-based nature of HIP-WI payouts. In contrast, SCO participation remains modest across most specialty crops, often flat or declining over time, and rarely constitutes the primary supplemental layer.

A distinct break appears in 2025, when ECO adoption rises sharply for several high-value specialty crops, consistent with the large, administratively induced premium reductions implemented that year. Notable increases occur for dry peas (699.28 thousand acres, 25.4 percent of eligible acres) and dry beans (250.7 thousand acres, 18.7 percent of eligible acres). Other specialty crops also exhibit large increases in 2025; however, these increases coincide with both the subsidy increase and the initial availability of ECO for these crops, making it difficult to disentangle the demand response to lower premiums from the one-time enrollment effect of a newly available product. Part of the observed increase in participation is attributable to initial adoption by producers who did not previously have access to ECO, rather than to increased demand from existing ECO-eligible producers responding to modified pricing. These crops include almonds (103.5 thousand acres, 9.4 percent of eligible acres), walnuts (21.03 thousand acres, 8.8 percent of eligible acres), grapes (23.87 thousand acres, 4.8 percent of eligible acres), and apples (22.05 thousand acres, 8.9 percent of eligible acres).

Figure 7: ***Supplemental Insurance Use by Specialty Crops from 2016 to 2025, Insured Acres in Millions.***



Note: Commodity group membership is defined in the note to the supplemental insurance use by commodity group figure.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Supplemental Adoption on Eligible County Acres

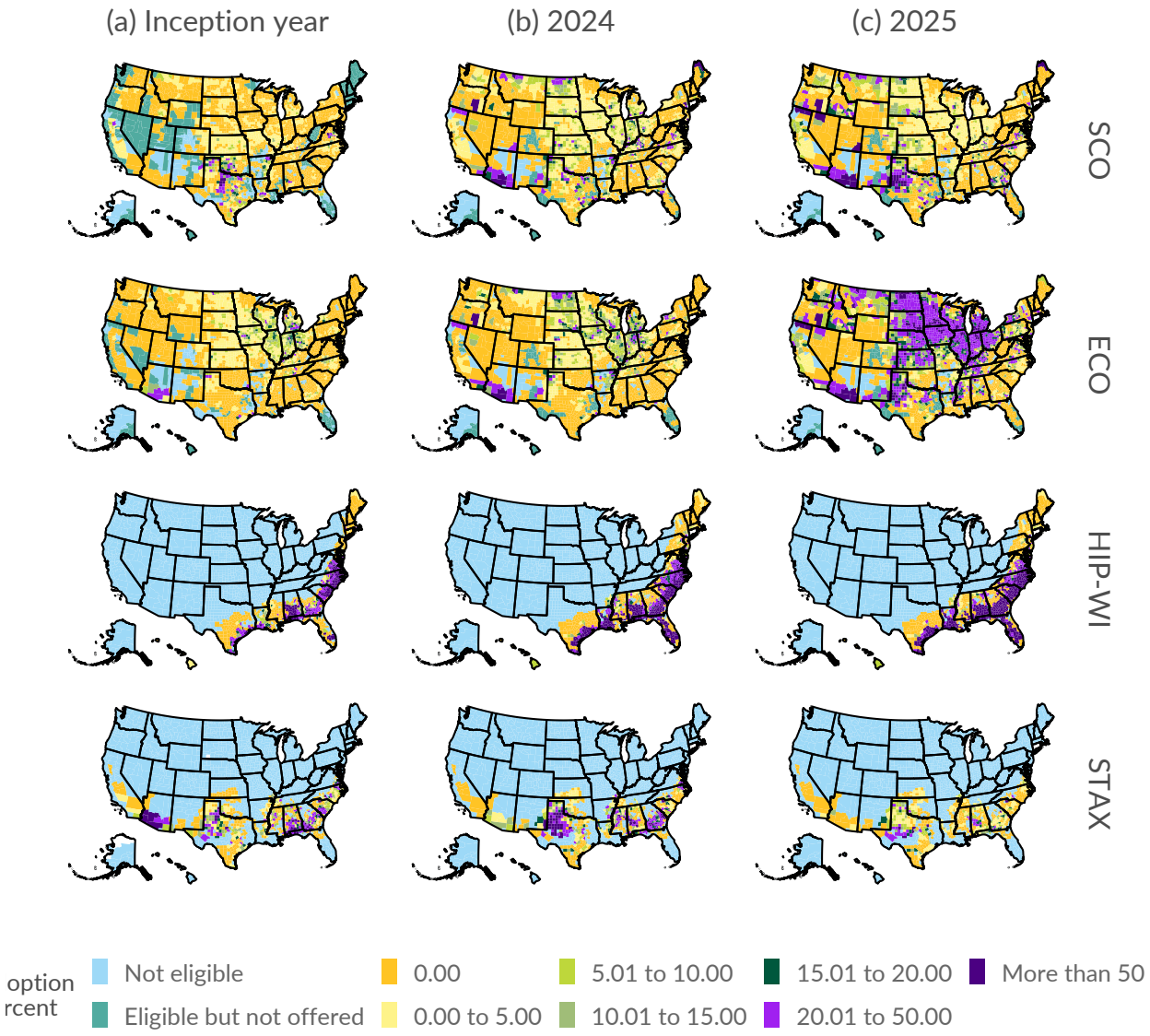
County-level adoption of supplemental insurance is measured as the share of eligible insured acreage enrolled in a specified supplemental coverage, aggregated across all commodities within each county. Eligible acreage includes acres insured under qualifying basic policies (APH, YP, RP, or RP-HPE) and adoption is calculated conditional on product availability. This measure captures the intensity of supplemental insurance use at the county level, independent of crop mix, while excluding acreage for

which supplemental coverage is not offered.

Although participation in supplemental insurance increased gradually following product introductions, adoption levels prior to 2025 remained modest across most counties. As shown in Figure 8, most counties enrolled less than 5 percent of eligible insured acreage in supplemental coverage in each of the years shown. Where adoption did occur, increases were concentrated in regions dominated by major row crops, including the Heartland, Northern Great Plains, Mississippi Portal, and Western Prairie Gateway, where county-level outcomes tend to align more closely with individual farm performance and basis risk is relatively low (Chalise et al., 2017). Uptake of SCO was relatively slow following its introduction, particularly when compared with the rapid first-year adoption of ECO. Although ECO covers a relatively narrow band, approximately the top 9 percent of expected production, it is triggered more frequently than SCO because losses need only reach moderate levels to activate payments. At equal premium-subsidy rates, ECO premium per dollar of liability is in fact larger than SCO premium per dollar of liability, reflecting the higher trigger probability of the upper band. The relevant cost concept for producers is therefore producer-paid premium per dollar of *expected* indemnity, which is typically lower for ECO than for SCO precisely because ECO triggers more often. SCO, by contrast, protects a broader deductible band (36 to 1 percent depending on the basic coverage level) but requires larger county-level losses before indemnities are paid, making payouts less frequent and coverage less immediately salient to producers. These features make ECO attractive to producers evaluating cost against expected payout, which helps explain its strong initial uptake. The high first-year adoption of ECO is therefore consistent with producers who already held RP or YP coverage adding ECO on top, rather than with new producers entering the FCIP through ECO for the first time.

From 2024 to 2025, the increase in subsidy rates for ECO substantially reshaped the adoption landscape. ECO once again emerged as the dominant supplemental program, with striking increases in adoption across the Heartland, where most field crops are produced. In most counties of this region, coverage levels rose to more than 50 percent of eligible land. For SCO, coverage shares rose primarily in counties where the program had already been adopted, particularly in the Texas Cotton Belt, Southern Idaho/Oregon, and Northern Plains. In the Heartland region, SCO coverage rates are now largely above 10 percent. This pattern is consistent with strong demand for protection against revenue losses above the 86 percent threshold and may reflect a structural shift in the insurance portfolios of producers in the central region.

Figure 8: ***Supplemental Coverage Offering and Adoption in the U.S. Federal Crop Insurance Program at Product Inception, 2024, and 2025.***



Note: This figure illustrates county-level eligibility, availability, and adoption of the Supplemental Coverage Option (SCO); the Enhanced Coverage Option (ECO), combining the 90 and 95 percent coverage levels; the Stacked Income Protection Plan (STAX); and Hurricane Insurance Protection - Wind Index (HIP-WI) under the U.S. Federal Crop Insurance Program (FCIP). County eligibility is defined by the presence of a relevant basic insurance policy (e.g., SCO and ECO require an individual-based insurance policy like Actual Production History (APH), Yield Protection (YP), Revenue Protection (RP), or Revenue Protection with Harvest Price Exclusion (RP-HPE)). The left column displays the first year in which each product became available (2015 for SCO; 2021 for ECO; 2015 for STAX; and 2020 for HIP-WI). Shading distinguishes counties that are ineligible, eligible but not offered, or adopting the product, with adoption measured as the share of eligible insured acres enrolled in the respective supplemental plan.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

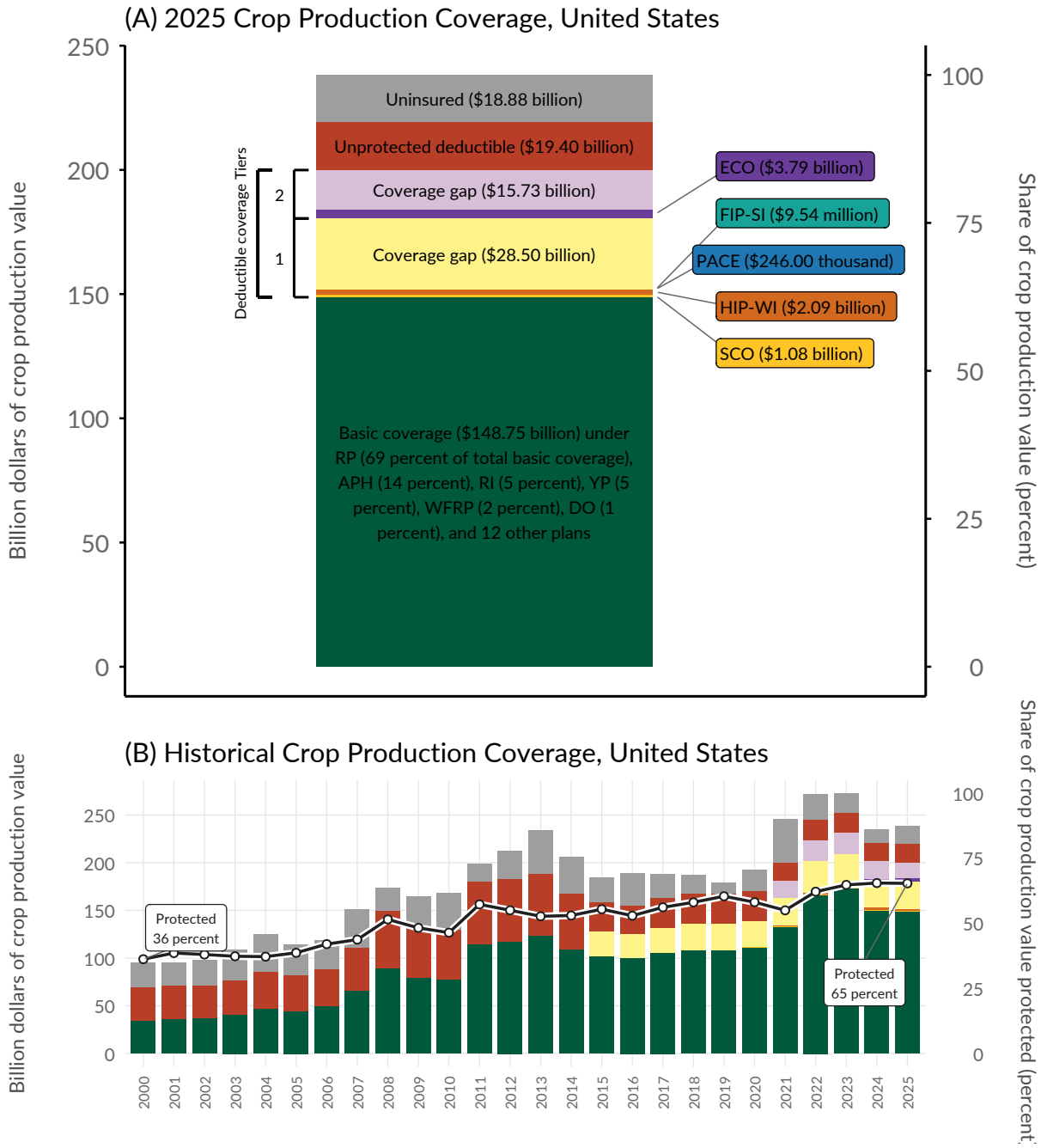
The HIP-WI plan initially experienced slower uptake but gained momentum as producers in hurricane-prone regions observed the program's performance following major storm events. First offered for the 2020 hurricane season, HIP-WI covers a portion of the deductible on underlying crop insurance policies when sustained hurricane-force winds affect a county or adjacent county and was later expanded to include a Tropical Storm option to broaden protection in select coastal areas. After a sequence of damaging storms, including Beryl, Debby, Francine, and Helene, county-level triggers generated substantial indemnity payments, with more than $788 million paid in 2024 alone and over $1.69 billion in aggregate from 2020 to 2025 under HIP-WI and its Tropical Storm Option. The automatic release of indemnities upon trigger activation, without the need for individual loss claims, further reinforced the program's responsiveness. Together, repeated disaster experience and visible payouts increased the salience and perceived value of HIP-WI, with adoption rising over 50 percent of eligible acreage in affected regions, establishing HIP-WI as a frequently elected product in counties with material hurricane exposure.

Finally, between 2015 and 2025, STAX exhibited little change relative to its initial participation, suggesting that most willing upland cotton producers in the Cotton Belt adopted the program immediately, consistent with its strong alignment to cotton-specific revenue risk and its initially large 80 percent subsidy rate.

Supplemental Adoption and National Crop Production Value

Measured against the value of what is grown rather than the acres it is grown on, supplemental insurance remains a thin layer over a much larger base of basic coverage. Figure 9 traces that structure from 2000 to 2025, showing how basic FCIP protection, supplemental layering, remaining deductible exposure and uninsured value have moved relative to one another. The stacked bars show how national crop production value is distributed across basic coverage (dark green), supplemental coverage layers (SCO, ECO, HIP-WI), uncovered deductible segments, and uninsured exposure.

Figure 9: ***Insurance Penetration of U.S. Crop Production Value, 2000 to 2025.***



Note: U.S. crop sector production value is taken from USDA, ERS Farm Income and Wealth Statistics data product and is recorded on a calendar year basis, while Federal Crop Insurance outcomes are on a crop-year basis. Basic plans, 2025 crop year: RP = Revenue Protection; APH = Actual Production History; RI = Rainfall Index; YP = Yield Protection; WFRP = Whole Farm Revenue Protection; DO = Dollar Amount of Insurance; TDO = Tree Based Dollar Amount of Insurance; RPHPE = Revenue Protection with Harvest Price Exclusion; ARH = Actual Revenue History; YDO = Yield Based Dollar Amount of Insurance; PRV = Pecan Revenue; ARP = Area Revenue Protection; AYP = Area Yield Protection; PRH-Y = Production Revenue History - Yield; PRH-P = Production Revenue History - Plus; ARP - HPE = Area Revenue Protection - Harvest Price Exclusion; PRH-R = Production Revenue History - Revenue; FD = Fixed Dollar Amount of Insurance. Supplemental plans: SCO = Supplemental Coverage Option; HIP-WI = Hurricane Insurance Protection - Wind Index; PACE = Post-Application Coverage Endorsement - Revenue Protection; FIP-SI = Fire Insurance Protection - Smoke Index; ECO = Enhanced Coverage Option. The most recent crop year shown is preliminary: the Summary of Business for it is still accumulating.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency and USDA Economic Research Service, as of October 15, 2026.

The *Protected* line reports the share of national crop production value sitting under a purchased policy or endorsement in that year.[9] Interpreted alongside county-level acreage adoption, the figure reveals how recent gains in supplemental participation translate into economic risk protection.

Prior to the introduction of supplemental insurance, a substantial share of crop production value remained either uninsured or exposed through deductibles under basic policies. Following the introduction of SCO in 2015 and the subsequent expansion of ECO and hazard-specific endorsements, an increasing portion of production value shifted from uninsured or deductible exposure into supplemental coverage tiers. This pattern reflects gradual producer uptake of area-based products intended to insure shallow losses that fall above basic policy coverage levels but below full protection.

However, Figure 9 also shows that high adoption measured in acres does not translate proportionally into coverage of production value. By 2025, supplemental products covered approximately 35.64 percent of eligible insured acres, yet the supplemental coverage layers shown in the figure amounted to only 2.93 percent of total U.S. crop production value. Much of the recent growth in acreage participation (particularly after 2024) is driven by products such as ECO, which insure only a narrow band at the top of the deductible, approximately the upper nine percent of expected production value. Acreage migrated toward the 90 to 95 percent bands that trigger more often, so even widespread acreage adoption of ECO generates only a modest increase in insured value at the national level.

At the same time, Figure 9 shows that the band SCO could cover in value terms remains only partially filled nationwide. Higher cost per dollar of insured loss and less frequent triggering have limited SCO's contribution to insured value. An unfilled band is not by itself evidence of underinsurance: the width of the band depends on the underlying coverage level, and at high coverage levels the SCO band is nearly as narrow as the ECO band, so the unfilled share can be small even where SCO is not purchased. What the figure establishes is the size of the layer still available for purchase, not the size of any shortfall.

Despite the expansion of supplemental offerings, most insured production value continues to be protected primarily through basic FCIP coverage, with supplemental plans accounting for a relatively small, though increasing, share of total protection. ECO contributes a thin upper layer, while HIP-WI adds

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[9] The protected share is the sum of the basic-coverage layer and the SCO, HIP-WI, PACE, FIP-SI, ECO, and MCO layers, divided by total crop production value. It excludes both deductible coverage gaps, the uninsured deductible, and uninsured production. Each insured layer is expressed at full insured value, that is, reported liability divided by the elected coverage level, so that the layers are measured on the same basis as the production-value denominator. The line is drawn against the right-hand axis, which is scaled to the tallest bar in the panel, so its plotted height coincides with the top of the stack only in the peak year.

targeted value protection in hurricane-exposed regions. The remaining deductible gaps and uninsured segments indicate that, even by 2025, a nontrivial share of national crop production value remains exposed to shallow and moderate losses.

Supplemental Insurance Outlook

The historical analysis presented thus far documents how participation in supplemental insurance has evolved under the existing policy regime, but it cannot, on its own, identify how recently expanded subsidies, broader eligibility, and higher coverage levels will affect adoption in the coming years. Because the Act's provisions are phased in over time, with the full expansion of SCO and the associated contraction of ECO not occurring until the 2027 commodity year, currently observed data provide only limited insight into the future direction of supplemental insurance participation. Accordingly, prospective analysis is needed to assess how the new policy environment may alter coverage levels, product choice, and fiscal exposure, and to inform stakeholders who must make decisions before realized participation data become available. This section therefore examines early signals for supplemental crop insurance adoption during the 2026 transition year of OBBBA and presents approximate net costs and producer net benefits for SCO and ECO under the 2027 program design.

Early Adoption Signals in 2026

Because acreage reporting for the 2026 crop year remains incomplete, currently reported totals understate the eventual insured acreage for both base and supplemental products. Policy counts, however, are already close to fully observed for commodities in counties with sales closing dates on or before May 31, 2026, and thus provide an early signal of changes in producer choices. We use these observed policy counts, together with historical relationships between policy counts and insured acreage, to generate an early forecast of 2026 supplemental insurance adoption.

Before the recent subsidy expansions, supplemental insurance adoption remained modest relative to eligible acreage. SCO adoption peaked at 6.79 percent of eligible acreage in 2023 and then fell back to 4.69 percent by 2025, so its recent history is one of mild decline rather than growth. ECO adoption increased gradually through 2024 and then rose sharply to 27.14 percent in 2025 following the administrative increase in the subsidy rate to 65 percent. This pattern suggests that producer take-up can

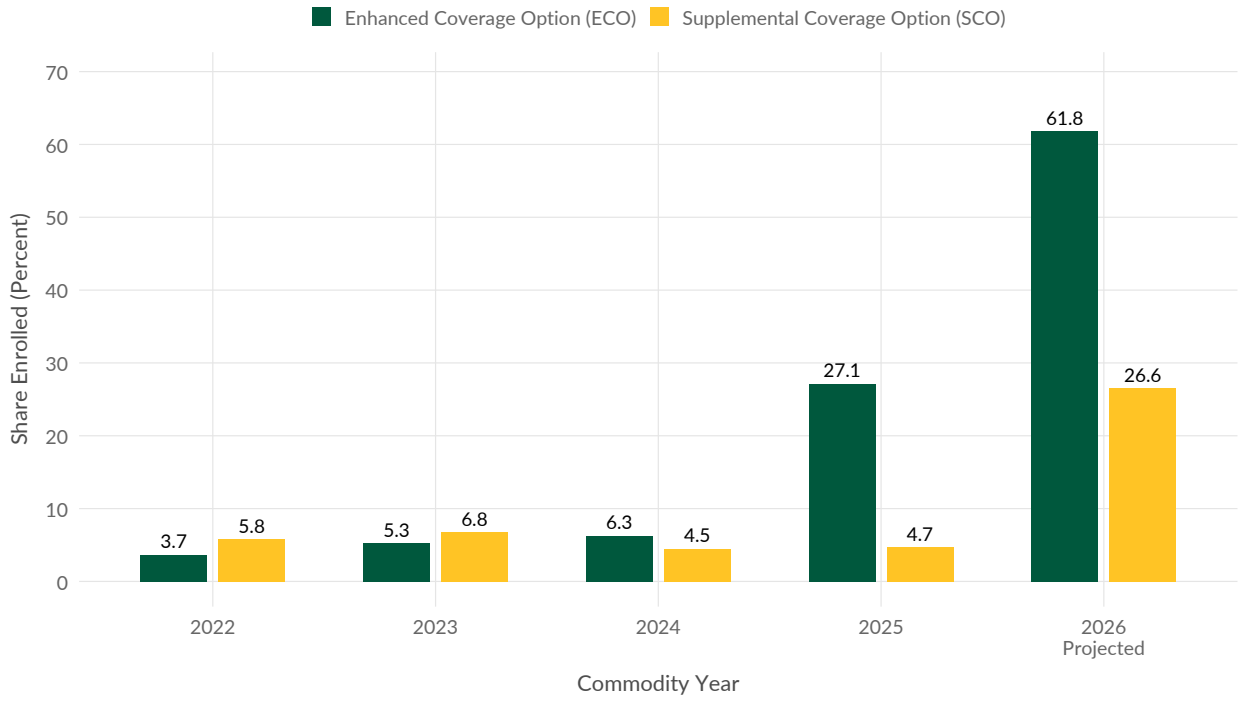
respond strongly when supplemental coverage becomes less costly. For the 2026 commodity year, base policy counts remained essentially unchanged at about 1.99 million policies in both 2025 and 2026. Over the same period, ECO policy sales increased from 231.34 thousand to 533.6 thousand, while SCO policy sales rose from 63.34 thousand to 315.04 thousand. These provide the first clear indication that producers responded strongly to the new OBBBA subsidy environment.

To translate policy counts into projected acreage, we apply historical acres-per-policy relationships to the observed counts. Between 2022 and 2025, the number of insured acres per base policy was highly stable, averaging 142.18 acres per policy; the 2025 ratios were 274.84 acres per policy for ECO and 209.97 for SCO. Applied to the national policy counts reported above, these imply roughly 282.93 million insured base acres, 146.65 million ECO acres, and 66.15 million SCO acres in 2026.

Adoption, however, must be measured against acreage that is actually eligible for supplemental coverage, since ECO and SCO can only be purchased on commodities and in counties where they are offered and where the sales closing date has passed. That universe accounts for 1.51 million of the 1.99 million base policies sold nationally, but 483.9 thousand of the 533.6 thousand ECO policies and 272.4 thousand of the 315.04 thousand SCO policies: supplemental sales are far more concentrated inside it than base sales are, so measuring supplemental acres against the national base would understate adoption. Applying the same acres-per-policy ratios within that universe yields 215.23 million eligible acres, 133 million ECO acres, and 57.19 million SCO acres, which are the quantities behind the adoption rates below.

Combining these projected supplemental acres with the projected eligible acreage implies that ECO adoption could reach 61.8 percent of eligible acres in 2026, while SCO adoption could reach 26.6 percent. As shown in Figure 10, relative to 2025, this would represent an increase of 34.7 percentage points for ECO and 21.9 percentage points for SCO. Put differently, the projected 2026 ECO adoption rate is about 2.3 times the 2025 rate, while the projected 2026 SCO adoption rate is about 5.7 times the 2025 rate. These are projections. Where acreage reporting has already closed, observed adoption runs 9.9 percentage points below the projected ECO rate and 2.7 points above it for SCO; that comparison is set out in the appendix.

Figure 10: ***Projected National Adoption Rates for the Enhanced Coverage Option (ECO) and Supplemental Coverage Option (SCO), 2022 to 2026.***



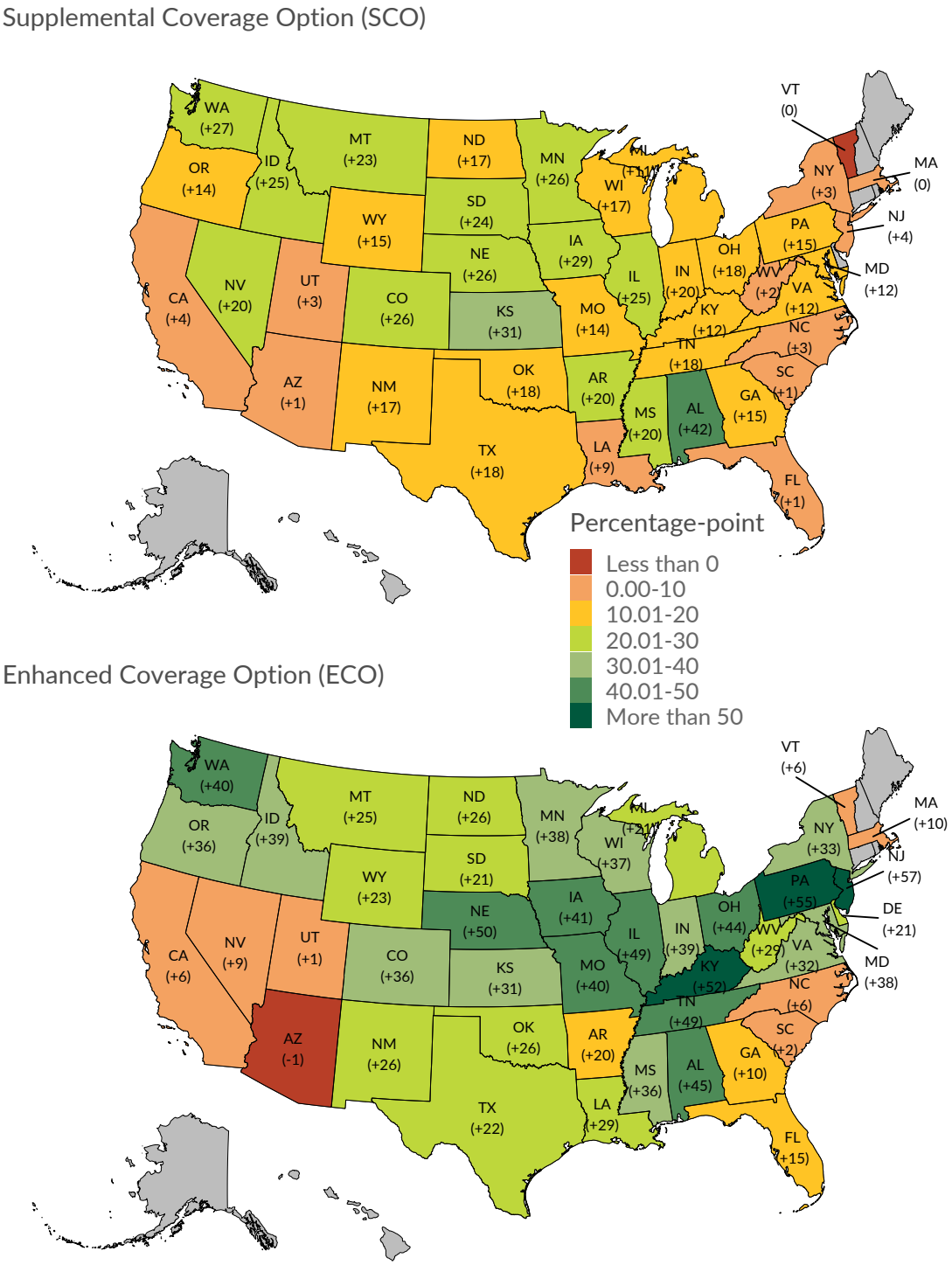
Note: The 2026 values are projected from observed policy sales and historical acres-per-policy relationships. Includes commodities in counties with sales closing date on or before May 31, 2026.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency, as of October 15, 2026.

These projections suggest that the 2026 crop year could mark the largest shift to date in the role of supplemental insurance within FCIP. The baselines are what make that so: ECO covered 27.14 percent of eligible acreage in 2025, and SCO had moved within a narrow band between 4.48 and 6.79 percent since 2022, drifting down rather than up. If these projections hold as acreage reporting is finalized, the 2026 transition year of OBBBA would coincide with the largest year-over-year change in supplemental insurance use since these products were introduced.

Beyond the national-level expansion, projected gains vary widely by state, and by more for ECO than for SCO. Figure 11 maps the projected change between 2025 and 2026 for each product; the two paragraphs below read it product by product.

Figure 11: ***Projected Change in Supplemental Coverage Option (SCO) and Enhanced Coverage Option (ECO) Adoption by State, 2025 to 2026.***



Note: The 2026 values are projected from observed policy sales and historical acres-per-policy relationships. Includes commodities in counties with sales closing date on or before May 31, 2026.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency, as of October 15, 2026.

For SCO, the largest predicted increase in Figure 11 occurs in Alabama, while moderate to large gains are also expected in Arkansas, Colorado, Idaho, Illinois, Iowa, Kansas, Minnesota, Mississippi, Montana, Nebraska, Nevada, South Dakota, and Washington. These increases are consistent with broader growth across several major agricultural states, including parts of the Corn Belt, Plains, and South. In contrast, no state is predicted to experience a decline in SCO adoption of more than five percentage points. States such as Arizona, California, Florida, Massachusetts, New Jersey, New York, North Carolina, South Carolina, Utah, Vermont, and West Virginia are projected to experience little or no substantial change in SCO adoption.

For ECO, Figure 11 shows increases that are widespread rather than confined to any one region. Adoption is projected to increase by more than 50 percentage points in Kentucky, New Jersey, and Pennsylvania, with the largest predicted gain occurring in New Jersey. Additional meaningful increases are expected in Alabama, Colorado, Delaware, Idaho, Illinois, Indiana, Iowa, Kansas, Louisiana, Maryland, Michigan, Minnesota, Mississippi, Missouri, Montana, Nebraska, New Mexico, New York, North Dakota, Ohio, Oklahoma, Oregon, South Dakota, Tennessee, Texas, Virginia, Washington, West Virginia, Wisconsin, and Wyoming. Several states show little or no substantial change, including Arizona, South Carolina, and Utah. No state is predicted to experience a decline in ECO adoption of more than five percentage points.

Compared with Figure 4, which shows historical adoption changes, the predicted ECO pattern is broadly consistent with recent adoption trends, though the largest percentage-point gains are not confined to the Midwest. This suggests that ECO adoption may continue to expand most rapidly in areas where producers are already highly engaged with federal crop insurance and where supplemental county-level coverage is more directly relevant to dominant row-crop systems. By contrast, SCO growth appears slower and less spatially concentrated than ECO growth, suggesting that producers may view ECO as the more attractive supplemental coverage option in regions with already high crop insurance participation. The weaker or declining adoption predicted in parts of the Southeast, Northeast, and Mountain West may also reflect more diverse crop mixes, smaller eligible acreage shares, lower baseline participation, or alternative risk-management strategies.

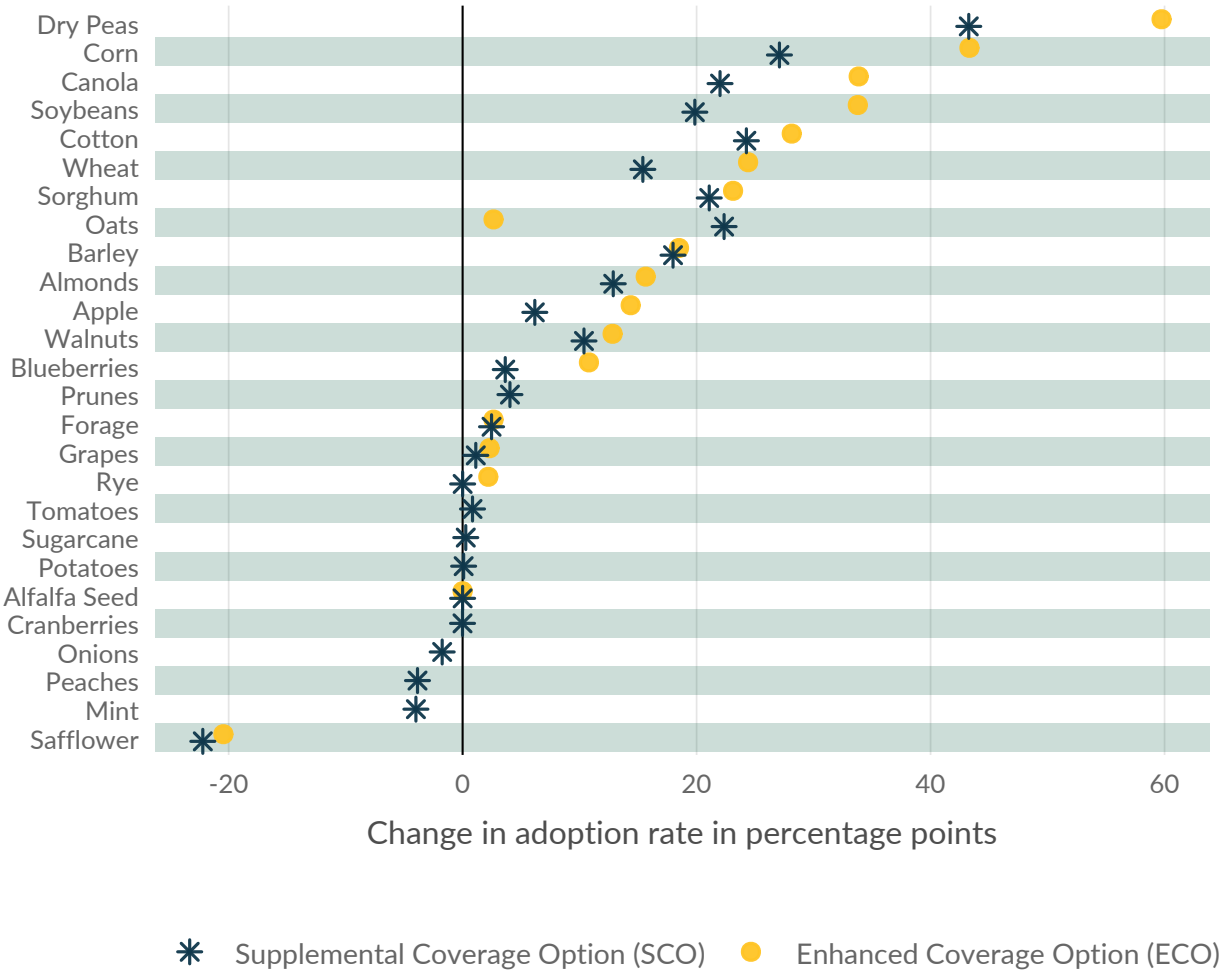
Crop-level predictions in Figure 12 further suggest that SCO and ECO adoption growth will be concentrated among major commodity crops. Predicted adoption growth exceeds 25 percentage points for both SCO and ECO among corn and dry peas. Soybeans also show strong predicted growth, particularly for ECO, with adoption expected to increase by 33.8 percentage points, compared with 19.8 percentage points for SCO. Wheat is similarly predicted to experience substantial adoption growth, with

expected increases of 24.4 percentage points for ECO and 15.4 percentage points for SCO. These patterns are consistent with the state-level results, where the strongest predicted increases are concentrated in major row-crop regions, especially the Midwest and other areas with high participation in federal crop insurance.

Moderate increases are also predicted for several other crops, including almonds, apple, barley, blueberries, canola, cotton, oats, sorghum, and walnuts. However, fruit and specialty crops generally show smaller and more mixed changes, suggesting that supplemental coverage expansion remains more limited outside major program crops. Several crops, including safflower, are predicted to experience decreases in adoption, although no crop shows a decline of more than 25 percentage points in either supplemental plan. These crop-level differences may reflect variation in baseline crop insurance participation, eligibility and availability of SCO/ECO coverage, crop-specific risk profiles, and the relative value producers place on county-level supplemental protection. The stronger growth among major commodity crops suggests that SCO and ECO adoption is likely to remain most responsive where producers already rely heavily on federal crop insurance as a core risk-management tool.

The 2026 adoption estimates reported in this sub-section of the report should be interpreted as preliminary forecasts rather than final realized outcomes. Final acreage associated with each policy may still change as planting and acreage reporting are completed, and the relationship between policies sold and acres insured may vary across commodities and regions. Even so, the historical stability of acres-per-policy ratios makes policy counts a useful early signal, and the magnitude of the 2026 increase in policy sales strongly suggests that supplemental insurance adoption is on track to rise sharply. Moreover, these forecasts may understate the full behavioral response to the subsidy expansion. When premium subsidies increase and policies become less expensive, producers may choose to insure more acreage under each policy than has historically been observed. If acres insured per policy rise in response to the lower effective premium cost, then the historical policy-to-acreage relationships used here would understate the eventual insured acreage under ECO and SCO in 2026.

Figure 12: ***Projected Change in Supplemental Coverage Option (SCO) and Enhanced Coverage Option (ECO) Adoption by Commodity, 2025 to 2026.***



Note: The 2026 values are projected from observed policy sales and historical acres-per-policy relationships. Includes commodities in counties with sales closing date on or before May 31, 2026.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency, as of October 15, 2026.

Net Costs and Producer Net Benefits for SCO and ECO in 2027

Because official RMA premium parameters reflecting the revised 2027 SCO and ECO coverage bands are not yet available, net costs and producer net benefits under the new framework must be approximated using currently observed Actuarial Data Master premium information recalibrated to the modified band structure. For purposes of this analysis, net cost is defined as the producer-paid premium rate after

application of the applicable federal premium subsidy, and producer net benefit is defined as indemnity minus producer-paid premium. The technical details of the premium recalibration procedure are provided in the appendix.

The evaluation is conducted retrospectively over the 2021–2024 period by holding underlying basic policy acres and elections (insurance plan, coverage level, and unit structure) at their observed levels and counterfactually evaluating SCO and ECO under alternative policy regimes. Both SCO and ECO are assumed to be adopted on 100 percent of acres insured under the observed underlying policy. That assumption is deliberate: the exercise prices a representative acre under alternative program rules and is not a forecast of participation, so holding adoption at its observed rate would blend a price effect with a participation effect and make the scenarios harder to read. Under the 2027 OBBBA program design scenario, policy and subsidy parameters for SCO and ECO, as well as subsidy support for the underlying basic policy, are fixed at their expected 2027 values. Realized indemnities for the basic policy are held at their observed 2021–2024 levels, while expected indemnities for SCO and ECO are recalculated under the revised 2027 coverage structure, with SCO evaluated under the expanded band up to 90 percent and ECO under the narrower 90–95 percent band. Premium rates for the supplemental products are similarly recalibrated to reflect the revised coverage intervals, and producer-paid premiums are computed using the expanded 2027 subsidy schedule. Parallel scenarios are also constructed for the 2026 transition year of OBBBA and for the pre-OBBBA policy regime by applying the corresponding premium, subsidy, and indemnity rules to the same observed 2021–2024 policy data. This framework isolates how changes in supplemental policy design would have affected producer-paid premium rates and producer net benefits under recently observed policy configurations. Anchoring the simulation on 2021–2024 imports the weather and yield experience of those years, which included unusually dry conditions across the Plains and parts of the Mountain West; the resulting indemnity levels should therefore be read as representative of that period rather than of a long-run average. A robustness check that re-anchors the simulation on the longer 2014–2024 window is reported in the appendix.

To assess how the full 2027 OBBBA framework may affect supplemental insurance performance, we evaluate results in five parts: premium per dollar of liability, subsidy per dollar of premium, premium paid per dollar of liability, expected indemnity received per dollar of liability, and net benefit per dollar of liability. We adopt the per-dollar-of-liability framing because it normalizes across coverage levels and crops and is the cleanest analytic comparison. Considered jointly, these measures show that the 2027 policy environment remains favorable to supplemental coverage in many settings, but also that some of the unusually large gains visible under the 2026 subsidy environment are likely to be moderated once the OBBBA-mandated recalibration of SCO and ECO coverage bands takes effect.

First, Figure 13 shows that the 2027 program design generally increases gross premium per dollar of liability relative to both the baseline and the 2026 comparison that applies OBBBA subsidy support while holding the pre-OBBBA coverage structure fixed. This increase is especially evident for SCO, which is consistent with the statutory expansion of the insured band up to 90 percent. In the all-commodities panel, the gross premium per dollar of liability increase under the 2027 framework for SCO ranges from +23.15 percent for SCO stacked with an underlying basic policy at the 85 percent coverage level (SCO-85) to +49.63 percent for SCO-80, while ECO increases by +17.28 percent. Moreover, the commodity-specific panels indicate that the magnitude of the increase is highly uneven across settings. For example, the increase is relatively modest for ECO in forages (+4.29 percent), whereas several SCO bands in nuts show much larger increases, including +230.89 percent at SCO-50, +307.88 percent at SCO-55, and +204.04 percent at SCO-60. The nuts result follows from the low yield variability of an established perennial. A deep SCO band sitting well below a low-variability guarantee carries very little rate to begin with, so extending the band upward into the shallow losses that actually occur adds most of the rate the band ever had, and the percentage change in premium per dollar of liability is correspondingly large even though the level remains small. These results indicate that once the 2027 recalibrated band structure is imposed, the gross price per dollar of liability of supplemental protection can rise materially, particularly for SCO and in certain commodity-coverage-level combinations. The direction of this result is worth stating plainly, because the per-dollar measure and the dollar measure move opposite ways. A narrower band lowers the premium a producer pays in dollars, all else equal, but it lowers liability proportionally more, so premium per dollar of liability rises even as the dollar premium falls. Stakeholders who think in total dollars rather than in dollars per dollar of liability will therefore see a smaller bill attached to a smaller amount of protection.

Turning next to subsidy support, Figure 14 shows a much more mechanical and uniform pattern. For SCO, the move from the baseline to the OBBBA environment increases subsidy per dollar of premium by about +23.08 percent across nearly all commodity groups and coverage levels, reflecting the higher subsidy support embedded in the new design. By contrast, ECO exhibits a much larger subsidy gain, with increases of +78.39 percent for all commodities, +78.8 percent for field crops, +56.9 percent for forages, and +73.36 percent for vegetables. This distinction is important for interpretation. Although the 2027 program design often increases gross premium intensity, the subsidy also rises enough to offset part of that increase, especially for ECO. Accordingly, Figure 14 demonstrates that OBBBA materially deepens federal support for supplemental coverage, although the implications for producer-paid costs still depend on how that added support interacts with the recalibrated coverage bands shown in Figure 13.

Building on Figure 13 and Figure 14, Figure 15 translates the combined effects of gross-premium changes

and subsidy changes into the producer-paid portion of premium. Relative to the baseline, producer-paid premium per dollar of liability generally declines under the 2027 program design; however, these reductions are often smaller than those shown in the 2026 comparison, which applies OBBBA subsidy rates without the 2027 band recalibration. For all commodities, the 2027 change ranges from about -30 percent for SCO-85 to -14 percent for SCO-80, while ECO declines by roughly -58 percent. By comparison, the 2026 scenario shows a uniform -43 percent change for SCO across bands, indicating that the planned 2027 recalibration of coverage bands offsets part of the subsidy-driven cost reduction. This point is especially important from a policy perspective. A simple increase in subsidy makes supplemental coverage appear substantially cheaper in 2026, yet once the OBBBA-mandated band revisions are fully implemented in 2027, part of that gain is eroded because the insured coverage structure itself changes. Absent the phased rollout, going straight to SCO-90 in 2026 would have offered a clearer "more protection for less" outcome; once the 2027 band changes are layered on, that signal is attenuated.[10]

With respect to realized protection, it is worth separating two levels at which loss can be measured, because they do not move together. At the program level, expected indemnity per dollar of liability is governed by the rating structure and is broadly stable across the policy environments considered here. At the level of an individual acre it is not: a band that starts higher pays more often, so a producer moving from an 86 percent to a 90 percent SCO trigger faces a higher probability of collecting on that contract even when the program-wide ratio is unchanged. The comparisons that follow therefore run through producer-paid cost, with the per-acre change in trigger frequency treated separately.

Finally, Figure 16 brings these components together by showing net benefit per dollar of liability. The central message is that net benefits improve substantially under the OBBBA settings relative to baseline in many cases, but the gains observed under the 2026 comparison are likely to be muted in 2027 once the planned recalibration of coverage bands takes effect. For all commodities, ECO net benefit rises by roughly 6.2 times in the 2026 comparison and by roughly 5.7 times under the 2027 program design. The same pattern appears in field crops, where the increase is roughly 6.8 times in 2026 versus 6.2 times in 2027; in vegetables, where net benefit roughly doubles in both years (+113 and +107 percent); and in forages, where it roughly triples (+181 and +175 percent). SCO exhibits a similar moderation: for example, SCO-85 across all commodities rises by roughly 54 percent in the 2026 comparison but by

[10] In a small share of crop-commodity-coverage combinations, the 2027 recalibration more than offsets the subsidy increase, so producer-paid premium rises relative to baseline. The clearest example appears in nuts, where the 2027 producer-paid premium rises by roughly +89 percent at SCO-50, more than doubles at SCO-55 (+133 percent), and rises by +74 percent at SCO-60 and +83 percent at SCO-65. These cases are not representative of the program-wide pattern, which is one of net reduction in producer-paid premium.

about 38 percent in 2027, while SCO-80 rises by roughly 58 percent in 2026 but only about 19 percent in 2027. These differences are important. They indicate that part of the very strong apparent gains in 2026 reflects the application of larger subsidies to the old coverage structure. Once OBBBA's planned band recalibration is fully incorporated in 2027, ECO becomes narrower and SCO is restructured, so those unusually high 2026 gains do not carry over one-for-one into the longer-run policy environment.

The same comparisons can be expressed as dollars per insured acre. Averaging over all commodities and weighting by underlying insured acres, producer-paid premium for ECO works out to approximately $18 per acre under the pre-OBBBA baseline, $6 per acre under the 2026 partial-OBBBA scenario, and $4 per acre under the full 2027 design. The corresponding expected net benefit (expected indemnity less producer-paid premium) rises from about $1 per acre at baseline to about $12 per acre in 2026, settling at about $6 per acre in 2027. For SCO-85, the corresponding sequence is $1, $1, and $4 for producer-paid premium per acre, and $1, $1, and $5 for expected net benefit per acre.

Figure 13 through Figure 16 show that full OBBBA implementation in 2027 affects supplemental insurance through two channels at once: higher subsidy support and recalibrated coverage bands. While the subsidy expansion tends to lower producer-paid costs and improve net returns, the accompanying changes to the SCO and ECO coverage structure also alter the underlying premium and indemnity relationships. As a result, the benefits observed under partial OBBBA implementation in 2026 should not be interpreted as a direct preview of outcomes under full implementation in 2027, since 2026 reflects higher subsidies applied to the pre-OBBBA coverage design, whereas 2027 incorporates the revised SCO and ECO bands required under the new law. Accordingly, the gains visible in 2026 may be moderated once the full 2027 design takes effect. These estimates should therefore be interpreted as policy-analysis approximations intended to provide an early indication of how the 2027 expansion of SCO and contraction of ECO may affect producer-paid costs, relative product attractiveness, and supplemental insurance choices before official RMA rates become available.

Figure 13: ***Supplemental Insurance Gross Premium per Dollar of Liability Under the One Big Beautiful Bill Act (OBBBA).***

Note: This panel reports a gross rating quantity, which a change in the premium subsidy rate cannot affect. The Before OBBBA [Baseline] and Pre OBBBA coverage and OBBBA subsidy [2026] scenarios are therefore identical here by construction; the effect of the subsidy increase appears in the premium paid and net benefit panels instead. Labels of the form SCO-85 indicate SCO stacked with an underlying basic policy at that coverage level; here, 85 percent. Bar labels, such as +17.89, report the percent change in the plotted quantity relative to the Before OBBBA [Baseline] scenario, which applies pre-OBBBA coverage bands and pre-OBBBA subsidy rates. Field crops include wheat, canola, oats, millet, rice, cotton, flax, sugarcane, sugar beets, corn, safflower, sorghum, peanuts, sunflowers, soybeans, potatoes, barley, buckwheat, tobacco, and sesame. Fruits include the output (and where applicable the trees) for blueberries, peaches, prunes, grapes, apple, grapefruit, lemon, tangelo, orange, and mandarin/tangerine. Nuts include the output (and where applicable the trees) for almonds and walnuts. Forages include forage, rye, grass seed, and alfalfa seed. Nurseries include nursery (field grown and container), and nursery (Nursery Value Select). Vegetables include onions, sweet corn, processing beans, dry beans, dry peas, mustard, mint, tomatoes, cucumbers, and pumpkins. All crops include all the listed crops above and all other commodities not specified.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Figure 14: ***Supplemental Insurance Federal Subsidy per Dollar of Premium Under the One Big Beautiful Bill Act (OBBBA).***

Note: Labels of the form SCO-85 indicate SCO stacked with an underlying basic policy at that coverage level; here, 85 percent. Bar labels, such as +17.89, report the percent change in the plotted quantity relative to the Before OBBBA [Baseline] scenario, which applies pre-OBBBA coverage bands and pre-OBBBA subsidy rates. Field crops include wheat, canola, oats, millet, rice, cotton, flax, sugarcane, sugar beets, corn, safflower, sorghum, peanuts, sunflowers, soybeans, potatoes, barley, buckwheat, tobacco, and sesame. Fruits include the output (and where applicable the trees) for blueberries, peaches, prunes, grapes, apple, grapefruit, lemon, tangelo, orange, and mandarin/tangerine. Nuts include the output (and where applicable the trees) for almonds and walnuts. Forages include forage, rye, grass seed, and alfalfa seed. Nurseries include nursery (field grown and container), and nursery (Nursery Value Select). Vegetables include onions, sweet corn, processing beans, dry beans, dry peas, mustard, mint, tomatoes, cucumbers, and pumpkins. All crops include all the listed crops above and all other commodities not specified.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Figure 15: ***Supplemental Insurance Producer-Paid Premium per Dollar of Liability Under the One Big Beautiful Bill Act (OBBBA).***

Note: Labels of the form SCO-85 indicate SCO stacked with an underlying basic policy at that coverage level; here, 85 percent. Bar labels, such as +17.89, report the percent change in the plotted quantity relative to the Before OBBBA [Baseline] scenario, which applies pre-OBBBA coverage bands and pre-OBBBA subsidy rates. Field crops include wheat, canola, oats, millet, rice, cotton, flax, sugarcane, sugar beets, corn, safflower, sorghum, peanuts, sunflowers, soybeans, potatoes, barley, buckwheat, tobacco, and sesame. Fruits include the output (and where applicable the trees) for blueberries, peaches, prunes, grapes, apple, grapefruit, lemon, tangelo, orange, and mandarin/tangerine. Nuts include the output (and where applicable the trees) for almonds and walnuts. Forages include forage, rye, grass seed, and alfalfa seed. Nurseries include nursery (field grown and container), and nursery (Nursery Value Select). Vegetables include onions, sweet corn, processing beans, dry beans, dry peas, mustard, mint, tomatoes, cucumbers, and pumpkins. All crops include all the listed crops above and all other commodities not specified.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Figure 16: ***Supplemental Insurance Net Benefit per Dollar of Liability Under the One Big Beautiful Bill Act (OBBBA).***

Note: Labels of the form SCO-85 indicate SCO stacked with an underlying basic policy at that coverage level; here, 85 percent. Bar labels, such as +17.89, report the percent change in the plotted quantity relative to the Before OBBBA [Baseline] scenario, which applies pre-OBBBA coverage bands and pre-OBBBA subsidy rates. Field crops include wheat, canola, oats, millet, rice, cotton, flax, sugarcane, sugar beets, corn, safflower, sorghum, peanuts, sunflowers, soybeans, potatoes, barley, buckwheat, tobacco, and sesame. Fruits include the output (and where applicable the trees) for blueberries, peaches, prunes, grapes, apple, grapefruit, lemon, tangelo, orange, and mandarin/tangerine. Nuts include the output (and where applicable the trees) for almonds and walnuts. Forages include forage, rye, grass seed, and alfalfa seed. Nurseries include nursery (field grown and container), and nursery (Nursery Value Select). Vegetables include onions, sweet corn, processing beans, dry beans, dry peas, mustard, mint, tomatoes, cucumbers, and pumpkins. All crops include all the listed crops above and all other commodities not specified.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of October 15, 2026.

Featured Article: Margin Coverage Option Amid Cost Disruptions

Crop insurance has traditionally focused on protecting producers against losses in yield and revenue, but it offers much less protection when pressure comes from the cost side of the farm margin. That distinction became especially important in 2026, when conflict in the Middle East disrupted fertilizer and energy markets and sharply increased the prices of several major farm inputs. As a result, producers faced a direct compression of operating margins, creating an early test for the Margin Coverage Option (MCO), a supplemental crop insurance endorsement introduced for the 2026 crop year.

MCO is designed to protect county-level operating margins rather than revenue alone. It can respond to lower crop prices, lower yields, higher input costs, or some combination of the three.[11] For producers who purchased MCO for 2026, the timing of the conflict was particularly important because projected input prices had been established the previous fall, while final MCO input prices were determined in April after fertilizer and energy markets had been disrupted. The resulting increase in indexed production costs reduced insured margins and raised the likelihood of MCO payments. Final indemnities will still depend on harvest crop prices and county yields, but current market conditions provide a useful illustration of how margin coverage can respond to risks that conventional revenue products do not directly insure.

The 2026 Hormuz Disruption

In early March 2026, commercial shipping through the Strait of Hormuz was disrupted. Major Protection and Indemnity clubs subsequently suspended war-risk coverage, effectively halting commercial transit through the Strait (Arita et al., 2026a). The implications for agricultural input markets were significant because the Gulf is a major supplier of fertilizer and energy products. In 2024, the region accounted for 43 percent of global urea exports and 44 percent of sulfur trade, and unlike Russian supplies during the 2022 disruption, Gulf production has no viable alternative export route when the Strait is closed (Arita et al., 2026a). Within three weeks, urea spot prices had risen 28.2 percent, diammonium phosphate (DAP) 2.6 percent, and farm diesel 34.7 percent (Chakravorty et al., 2026; Arita et al., 2026a).

The effect on crop prices was much smaller. The Persian Gulf imports rather than exports grain, so the disruption did not remove large quantities of grain from world markets (Arita et al., 2026a; Arita et al., 2026b). Corn prices rose only 3.6 percent in the weeks following the closure, while soybean prices declined slightly (Chakravorty et al., 2026). The result was a cost shock that had relatively little

[11] See details at https://www.rma.usda.gov/policy-procedure/general-policies/margin-coverage-option.

revenue-side offset immediately after the conflict. This distinction matters for crop insurance because a revenue policy may provide protection when yields or crop prices fall, but it does not directly compensate a producer simply because fertilizer, fuel, or other production costs increase. MCO was designed to address part of that exposure.

How MCO Works

MCO is an area-based crop insurance endorsement introduced by RMA for crop year 2026. Instead of insuring revenue alone, it protects an indexed operating margin constructed from county revenue and selected production costs. Revenue is based on county yields and futures-based crop prices, while the cost component uses RMA-specified input quantities and futures-based prices for urea, DAP, potash, diesel, and natural gas. Natural gas is included only for irrigated practices.[12] This structure allows changes in selected input prices to directly affect the insured margin rather than operating only indirectly through farm profitability.

The price-discovery schedule is central to how the product responds to cost shocks. For most crops, projected crop and input prices are established from August 15 through September 15 before the insured crop year. Final crop prices generally follow the harvest price discovery periods used for traditional COMBO products, while final input prices are determined from average futures prices during April 1 through April 30. A cost shock occurring after fall enrollment but before April can therefore reduce the final insured margin even if yields and crop prices remain relatively stable. If input prices rise and crop revenue does not increase enough to compensate, the likelihood of an MCO payment increases.

For crop year 2026, MCO was available for corn, soybeans, wheat, cotton, sorghum, and rice.[13] The coverage band extends from either 95 or 90 percent down to 86 percent, and MCO must be purchased as an endorsement to an underlying individual policy such as Yield Protection, Revenue Protection, Revenue Protection with Harvest Price Exclusion, or Actual Production History. MCO can be combined with SCO but not ECO because the MCO and ECO coverage bands overlap. Following the One Big Beautiful Bill Act, the subsidy rate increased to 80 percent, matching the subsidy rates for ECO, SCO, and STAX.[14] These design features make MCO a direct alternative to ECO for producers deciding how to

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[12] Futures contract months vary by location.

[13] Offerings closely matched the geographical distribution of what is currently offered for Margin Protection.

[14] See https://www.rma.usda.gov/policy-procedure/bulletins-memos/managers-bulletin/mgr-25-006-one-big-beautiful-bill-act-amendment.

insure the upper part of their risk exposure.

First-Year Adoption Remains Limited

As of September 16, 2026, data from the RMA Summary of Business show limited MCO adoption for crop year 2026. A total of 8,959 MCO policies were sold, with 99.4 percent at the 95 percent coverage level. Endorsed acreage remains preliminary while acreage reporting continues, so policy counts provide the cleaner measure of early adoption. By comparison, ECO had 533,498 policies sold on the same basis, meaning MCO represented approximately 1.7 percent of the combined MCO and ECO policy pool. The low first-year adoption is important when interpreting the 2026 shock because MCO may prove valuable for producers who purchased it, but relatively few producers entered the year with that protection.

First-year MCO participation is concentrated rather than broadly distributed across eligible crops: soybeans and corn alone account for more than 90 percent of policies sold (Table 4). Cotton sales were concentrated in Texas and Oklahoma, grain sorghum sales in Texas and Kansas, and spring wheat policies primarily in North Dakota and Minnesota. The geographic concentration also matters for the simulations below because current estimates describe the counties in which producers actually enrolled rather than the full set of counties where MCO was available.

Table 4: ***Preliminary Margin Coverage Option (MCO) Adoption by Commodity and Leading States, 2026.***

Commodity	Policies	Share (percent)	Top States
Soybeans	5,076	57	IA, SD, IL
Corn	3,098	35	SD, IA, NE
Cotton	356	4	TX, OK
Sorghum	272	3	TX, KS
Wheat	106	1	ND, MN
Rice	51	1	
Total	8,959	100	

Note: Policies sold by commodity and leading states as of the preliminary 2026 sales period. Soybeans and corn account for more than 90 percent of policies sold. Shares are rounded to the nearest whole percent and may not sum to 100.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of September 16, 2026.

The Cost Shock Moved Directly Into MCO Margins

MCO final input prices are set as average futures prices during April. Because the effects of the conflict extended throughout this price discovery period, the shock carried directly into the 2026 MCO cost calculation. Table 5 reports the projected and final prices for the inputs included in the MCO index. Relative to projected prices set the previous fall, urea increased 65.3 percent, DAP increased 9.9 percent, diesel increased 79.8 percent, potash increased 30.8 percent, and natural gas decreased 22.8 percent. The movements represent a substantial shift in the cost component of the MCO margin within a single crop year.

Table 5: ***Margin Coverage Option (MCO) Input Projected and Harvest Final Prices.***

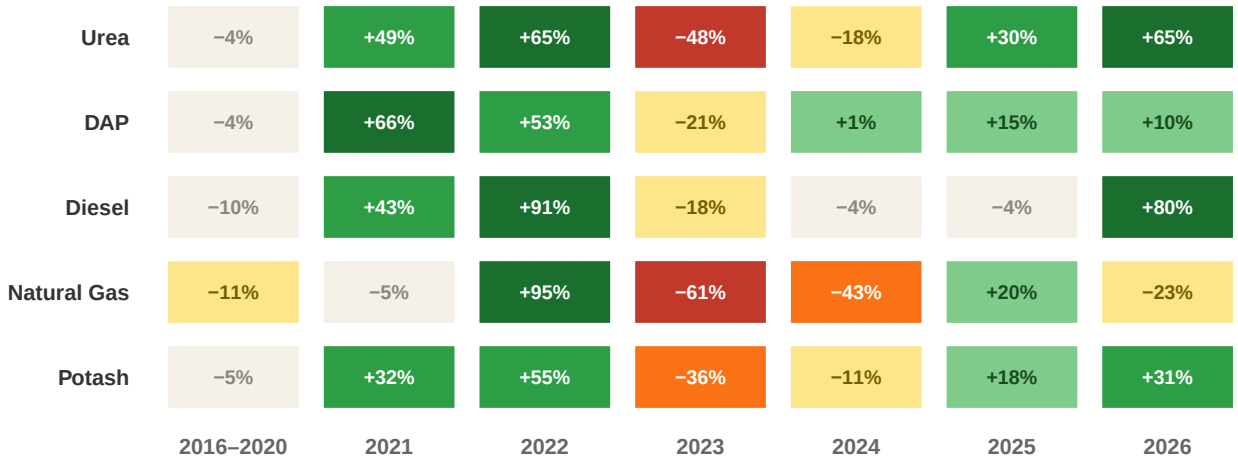
Input	Fall Projected Prices (PP)	Spring Harvest Prices (HP)	HP / PP (percent)
Urea ($/ton)	406.62	672.31	65.3
DAP ($/ton)	686.88	755.00	9.9
Potash ($/ton)	588.06	769.30	30.8
Diesel ($/gallon)	2.18	3.92	79.8
Natural Gas ($/MMBTU)	3.47	2.68	-22.8

Note: Projected (fall) and harvest (spring) input prices for the inputs considered in the Margin Coverage Option. HP/PP is the percent change from projected to harvest price.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from Bloomberg and the MCO and MP Price Discovery Tools, as of September 16, 2026.

The magnitude of the 2026 increases is also notable in historical context. We compare the 2026 projected-to-final price changes with equivalent changes since 2016, calculated as though MCO had existed in those earlier years. Urea recorded its largest increase over that period in 2026. The increases in other fertilizers and diesel were also substantial, although generally below the spikes observed around 2021 and 2022. Figure 17 places the 2026 price changes alongside these historical movements and shows that the current episode ranks among the more consequential cost shocks of the past decade.

Figure 17: ***Historical Changes in Input Prices Between Projected and Harvest Price Discovery Periods.***



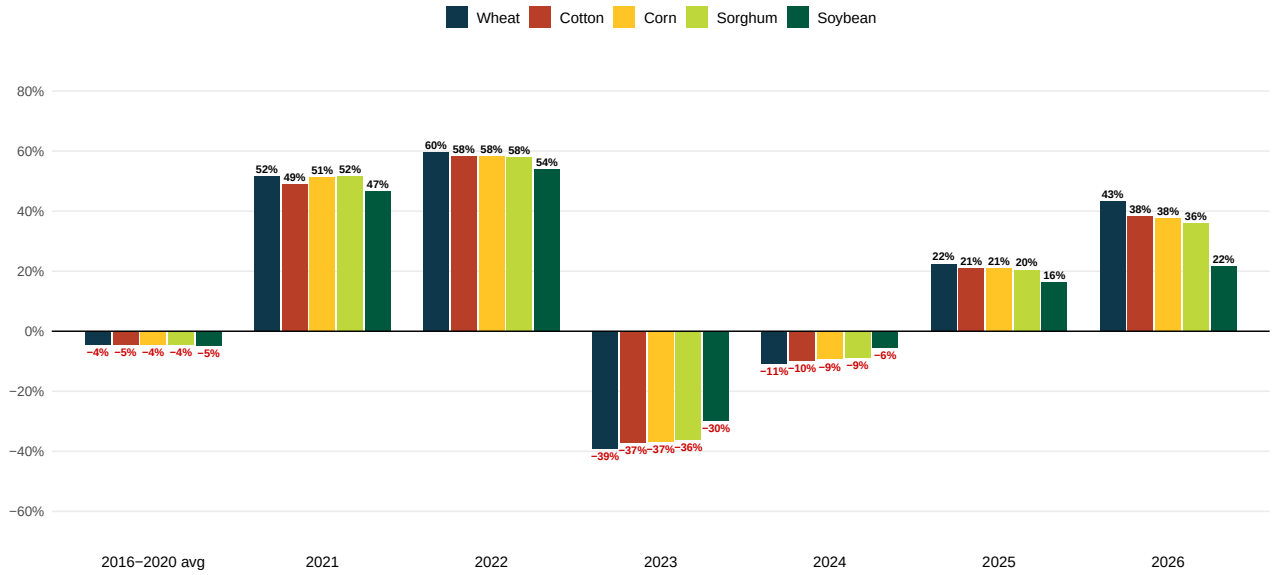
Note: Harvest prices are set in April and projected prices are set in the previous August–September period. Rice has a different discovery period.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from Bloomberg and the MCO and MP Price Discovery Tools, as of September 16, 2026.

Higher input prices translated into higher MCO-indexed production costs across covered commodities. These are not farm-specific production expenses, but index costs calculated using RMA-defined input quantities tied to expected county yields and futures-based fertilizer and energy prices. Figure 18 shows how indexed costs changed between the projected and final price discovery periods and how the 2026 changes compare with previous years. On average, MCO-indexed costs increased sharply in 2026 and rank among the largest increases since 2016. This matters because higher indexed costs reduce the final county margin even if crop prices and yields remain unchanged.

MCO payments are triggered when final county-level margins fall below the trigger margin, which is based on expected revenue, expected costs, and the selected coverage level. When MCO is paired with Revenue Protection, the calculation can also reflect the harvest price option because the revenue guarantee may increase when the harvest crop price exceeds the projected price. The final effect therefore depends on the interaction of crop prices, county yields, and indexed input costs rather than input prices alone. Nevertheless, the input price movements have increased the probability of MCO triggering a payment.

Figure 18: ***Estimated Cost Increases from Historical Input Price Changes and Expected County Yields.***



Note: Costs represent input prices times predetermined quantities based on expected yields. Expected yields are crop-specific averages from the simulation input counties when available.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from Bloomberg, USDA Risk Management Agency expected yields, and the MCO and MP Price Discovery Tools, as of September 16, 2026.

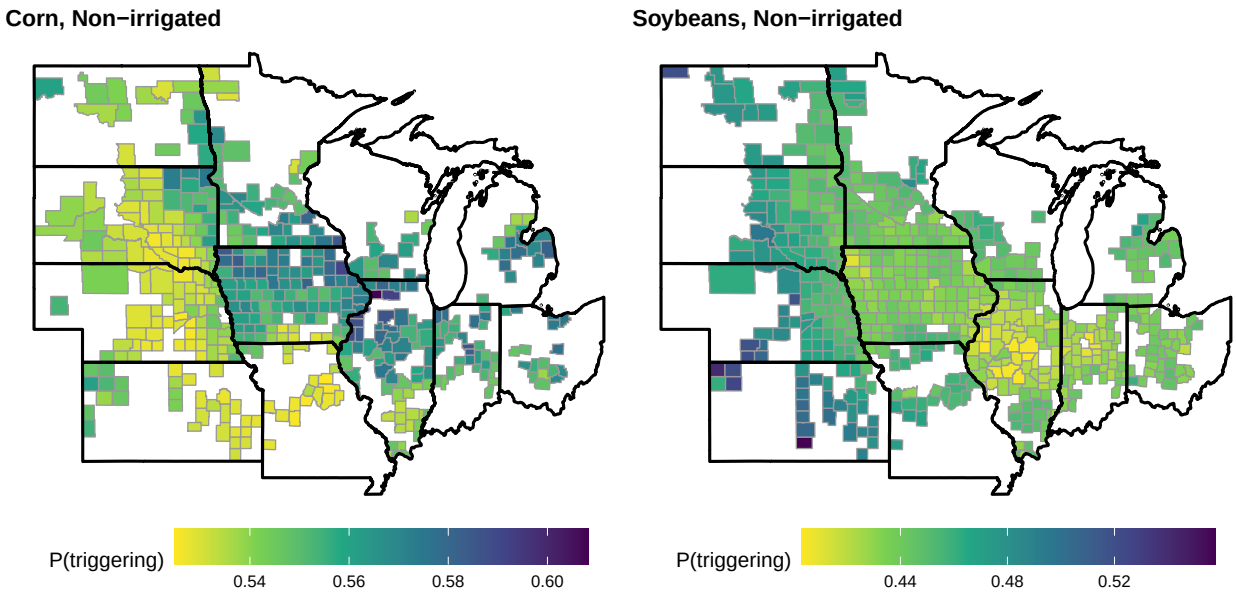
What Current Conditions Imply for 2026 Payments

Final MCO input prices are now known, but final indemnities are not. Harvest crop prices will be established in October for most crops, and 2026 county yields are expected to become available from RMA in 2027. The estimates presented here should therefore be interpreted as forward-looking values under current market conditions rather than final indemnity estimates. To examine current exposure, we use a simulation framework based on market conditions as of September 10, 2026, RMA expected county yields, historical yield variability, and RMA-implied price-yield correlations. The analysis focuses on MCO-95 corn and soybean policies in counties with reported enrollment.

The results indicate that MCO-95 has become a meaningful exposure rather than a remote layer of coverage for enrolled counties. Figure 19 shows that the estimated probability of triggering a corn payment averages about 55 percent, with the highest probabilities concentrated across the core Corn Belt. Soybean trigger probabilities are lower and geographically more uniform, averaging about 45 percent across enrolled counties. These probabilities reflect current market conditions together with county expected yields, yield variability, price-yield relationships, and the structure of the MCO coverage band. They are lower than the same simulation run on June 30 conditions, which put the corn average near 77 percent and the soybean average near 64 percent. The decline follows from the projected prices

used in each run rather than from any easing of the cost shock: higher expected crop prices raise expected revenue and therefore the expected margin, which moves the margin away from the trigger. Even after that decline, the probabilities show how strongly the cost shock has moved the insured margin before final crop prices and county yields are known.

Figure 19: ***Estimated Probability of Triggering a Margin Coverage Option (MCO-95) Payment for Non-Irrigated Corn and Soybeans, 2026.***

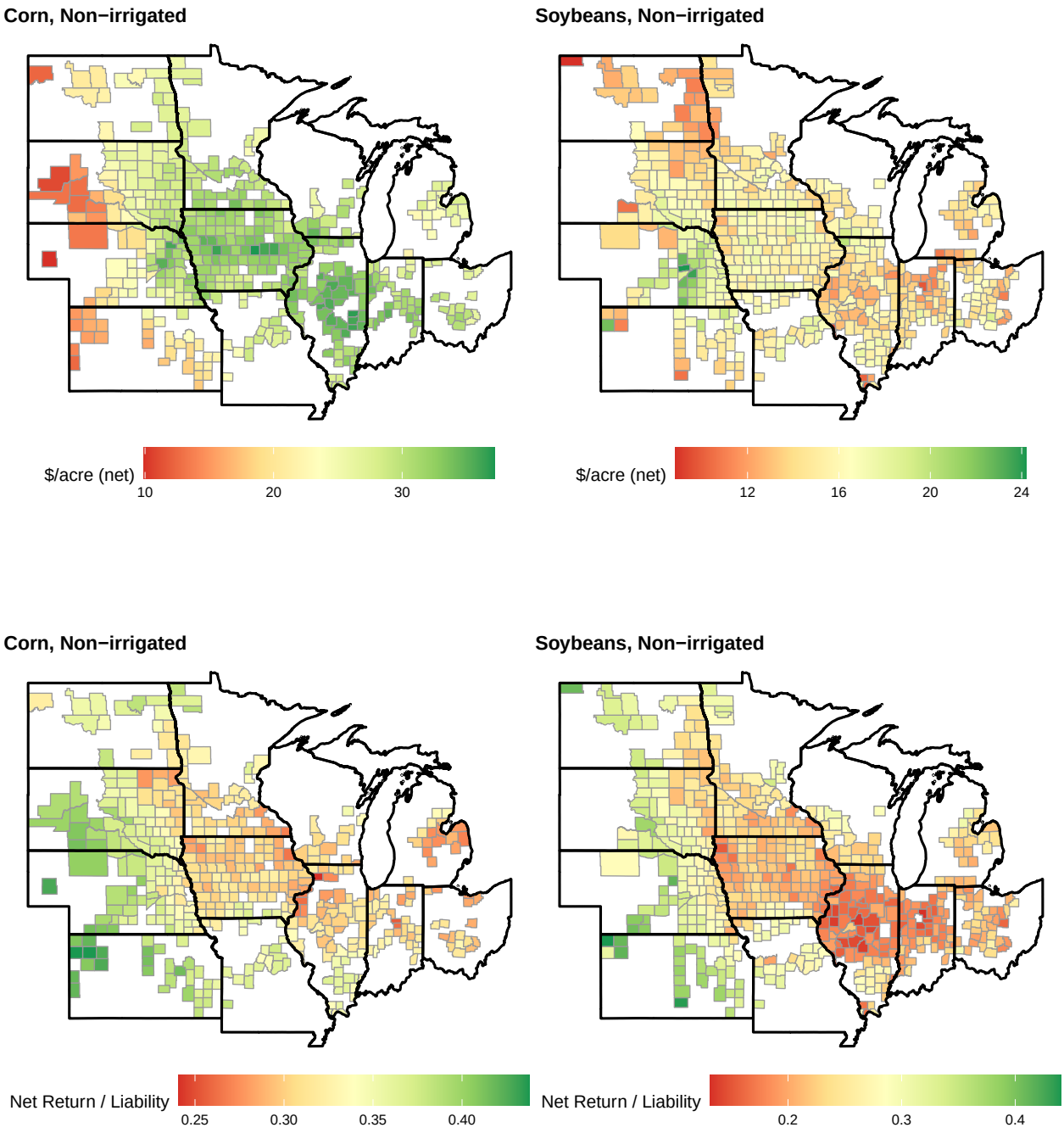


Note: Estimated probabilities are based on a simulation using market conditions as of September 10, 2026. The figure reports the simulated probability of triggering an MCO-95 payment. Corn and soybeans are shown for non-irrigated counties included in the simulation. Color scales are crop-specific.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency and futures prices, as of September 16, 2026.

The cost shock also produces positive expected net returns for current MCO-95 policyholders. Figure 20 reports expected net return per acre and per dollar of liability, where expected net return is the simulated expected MCO-95 payment less the farm-paid premium. For corn, expected net returns average approximately $28.21 per acre after an average producer-paid premium of about $7.82 per acre. For soybeans, the corresponding expected net return is $15.35 per acre after an average producer-paid premium of about $5.07 per acre. Relative to insured liability, expected net returns average approximately 0.33 for corn and 0.24 for soybeans, allowing comparisons across counties.

Figure 20: ***Estimated Net Return to the Margin Coverage Option (MCO-95) per Acre and per Dollar of Liability for Non-Irrigated Corn and Soybeans, 2026.***



Note: Estimated payments are based on a simulation using market conditions as of September 10, 2026. The top row reports expected MCO-95 payment minus farm-paid premium per acre. The bottom row reports the same net return divided by liability. Positive values indicate that expected payment exceeds the farm-paid premium. Color scales are crop-specific.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency and futures prices, as of September 16, 2026.

For corn, higher expected returns per acre are concentrated in Iowa, Illinois, and nearby Corn Belt counties. For soybeans, the highest per-acre returns are more concentrated in Iowa, Nebraska, and southern Minnesota, with lower values across parts of Illinois and North Dakota. Together, Figure 19 and Figure 20 show that the 2026 input cost shock has materially increased both the probability of an MCO payment and the expected value of that payment for currently enrolled producers. The geographic patterns reflect the interaction of county expected yields, RMA yield variability, price-yield correlations, input cost exposure, and the fixed MCO coverage band. Details of the simulation are presented in the supplementary note below.

The estimates can still change materially before the crop year is complete. Weather-related yield shocks and events not currently priced into futures markets could alter both trigger probabilities and expected payments. The current results should therefore be viewed as a measure of exposure under the information available at this point in the season rather than a prediction of final indemnities. As harvest approaches and uncertainty narrows, the probability of triggering and expected net returns can be reassessed using updated crop prices and yield information.

Protection Comes With Basis Risk

The 2026 experience demonstrates the potential value of margin coverage, but an MCO payment should not be interpreted as a direct measure of an individual farm's change in profitability. MCO is an index product, so its margin can differ from the margin actually experienced by a producer through both yield basis risk and cost basis risk. Yield basis risk arises because an individual farm's yield is not perfectly correlated with the county-level yield used by MCO and ECO, reducing the degree to which county-based insurance matches farm-level losses (Monaco et al., 2026; Tsay and Paulson, 2024). A producer can experience a poor yield when the county does not, or the county can experience a loss that is not representative of a particular farm. This familiar source of basis risk remains present even though MCO adds a cost component to the insurance calculation.

Cost basis risk adds another layer because both the quantity and price of inputs can differ between the MCO index and an individual operation. Farms use different combinations and quantities of fertilizer, fuel, and other inputs, so a producer using proportionally more of one input and less of another may experience a cost change that differs substantially from the index. The timing of purchases also matters because MCO uses futures prices from its August to September and April discovery periods, while actual farm expenses depend on when inputs are purchased. A producer who prepaid for urea or DAP before the conflict may therefore have incurred much lower costs than implied by the April index, meaning MCO

could show a larger cost increase than the farm actually experienced. Diesel can create a different timing mismatch because a substantial share of fuel use may occur later in the crop year, after the April MCO price period.

The relationship between the insured cost index and actual farm costs is therefore specific to the crop and operation. This does not eliminate the value of cost-sensitive coverage, but it affects how closely an indemnity tracks the producer's realized margin loss. Producers evaluating MCO should consider cost basis risk alongside county yield basis risk and the product's ability to respond to broader movements in fertilizer and energy prices. The 2026 shock is particularly useful in this regard because it provides the first opportunity to observe how the MCO index behaves during a large and sudden increase in selected input costs.

What 2026 Could Mean for 2027

The first year of MCO gives producers a concrete example of the type of risk the product was designed to cover. A geopolitical disruption sharply increased fertilizer and energy prices, increasing projected MCO payments all else equal. On the other hand, higher crop futures prices in the fall might offer producers an opportunity to lock in a high projected price. That experience could influence future enrollment, particularly among producers who view fertilizer and energy price volatility as an important source of farm-level risk. It does not, however, make the choice between MCO and other supplemental products straightforward because the product must be evaluated before the next shock is known.

The most important competitive constraint remains ECO. Because their coverage bands overlap, producers cannot purchase both MCO and ECO, and ECO entered 2026 with a much larger enrollment base. Producers must therefore weigh MCO's explicit treatment of selected input costs against ECO's supplemental revenue protection and the basis risk embedded in county-level margins. Timing also matters because producers made their 2026 MCO decisions the previous fall, before the Hormuz disruption was known. Those who did not purchase MCO could not add coverage after input prices began to rise, so the product protects against an uncertain future margin shock rather than allowing producers to insure a shock after it appears.

The level of input prices during the August to September 2026 discovery period will also shape the 2027 outlook. If fertilizer and energy prices remain elevated, the 2027 MCO projected-cost index will begin from a higher base, reducing the magnitude of another increase unless prices rise further by April. If input prices normalize before the fall discovery period, the projected index will reset lower and could again leave substantial exposure to a renewed price spike during the crop year. Finally, coverage band changes

for crop year 2027 will also affect MCO. For crop year 2027, MCO will carry a coverage band comparable to ECO, covering county margins from 90 to 95 percent. Essentially, MCO-90 is eliminated and MCO-95 has a reduced coverage band.

Future adoption will therefore depend not only on the experience of 2026 but also on expectations about input markets, perceptions of basis risk, changes to producer premiums, and how producers value MCO relative to ECO.

The Broader Lesson

MCO remains a small part of the crop insurance portfolio, but its first year has provided a clear demonstration of what margin coverage can add. The 2026 Hormuz disruption affected farms primarily through fertilizer and energy costs rather than through grain prices, exposing a risk that traditional revenue coverage does not directly address. For the relatively small group of producers who entered 2026 with MCO-95, current conditions imply elevated probabilities of payment and positive expected net returns. Actual indemnities will not be known until harvest crop prices and county yields are finalized, and farm-level outcomes can differ substantially from the county index. Even with those qualifications, the episode shows why the cost side of the margin can matter for crop insurance design.

The broader lesson extends beyond the final size of 2026 MCO payments. Geopolitical shocks can reach farm profitability quickly through production costs, and those shocks need not be accompanied by higher crop prices that offset the increase in expenses. MCO provides one mechanism for insuring part of that exposure while retaining the limitations of an area-based index product. The 2026 crop year therefore offers the first real-world test of whether margin-based supplemental coverage can fill a meaningful gap in the existing crop insurance portfolio.

Conclusion

Supplemental crop insurance products were designed to address a well-known limitation of traditional federal crop insurance by covering “shallow losses” that occur within policy deductibles but can nevertheless have meaningful effects on farm income. Despite this objective and relatively high premium subsidies since their introduction in the 2014 Farm Bill, adoption of supplemental products remained limited through 2024. Program complexity, restrictive eligibility rules, concerns about basis risk associated with area-based triggers, and limited familiarity among producers and agents all contributed to historically low participation.

OBBBA represents a major shift in supplemental insurance policy intended to reduce some of these barriers. By increasing premium subsidies across major supplemental products, removing longstanding coordination constraints with ARC/PLC elections, expanding allowable coverage levels, and increasing premium-subsidy support for Beginning Farmers and Ranchers, the Act alters the cost-benefit tradeoffs facing producers. The sharp increase in ECO participation in 2025 following the subsidy increase is consistent with demand for shallow-loss coverage being responsive to lower out-of-pocket cost. Early 2026 policy sales point to substantial expansion: the projections put ECO at 61.8 percent of eligible acreage and SCO at 26.6 percent, multiplying their 2025 rates by about 2.3 and 5.7, respectively. The SCO response is the more striking of the two, because SCO had been contracting rather than growing: after its 2023 high of 6.79 percent of eligible acreage, adoption had slipped to 4.69 percent by 2025, and the projected reversal coincides with a year in which OBBBA both raised the SCO subsidy from 65 to 80 percent and removed the ARC election constraint. The data do not separate these. In the cells where the acreage-reporting window has already closed, observed ECO participation sits about 10 percentage points below the projection, so these remain early signals rather than realized outcomes.

At the same time, the analysis shows that acreage participation and insured value grow at very different rates. Even when adoption expands substantially, supplemental products still cover narrow slices of loss above the underlying policy, and how much insured value an enrolled acre adds depends on the region and on the underlying coverage level the producer elects. In particular, under the 2027 program design ECO covers only the 90 to 95 percent band, the slice of the deductible that pays out most often relative to the deeper SCO layer beneath it. Concentrating subsidy-supported demand in the band most likely to pay is consistent with optimal choice when producers face a premium budget, but the structural implication remains that large increases in insured acres may translate into only modest increases in insured production value while meaningful exposure to moderate losses can persist if band concentration continues. These findings suggest that supplemental insurance under OBBBA deepens protection at the margin rather than fundamentally closing the shallow-loss gap.

The report also shows that the effects of OBBBA differ between the 2026 transition year and the 2027 program design. In 2026, higher subsidies are applied largely to the pre-OBBBA coverage structure. By contrast, the 2027 design moves both levers at once: subsidies rise, and the recalibrated SCO and ECO bands rework what the products charge and what they pay. Accordingly, the participation and net-benefit improvements recorded in the 2026 transition year do not map directly onto the settled 2027 program, and part of that improvement recedes once the revised structure takes effect.

The featured article adds a distinct lesson. The 2026 Strait of Hormuz disruption raised fertilizer and

diesel costs through the Margin Coverage Option's April price discovery window. Margin-based coverage can therefore respond to cost shocks that revenue-based supplemental products are not structured to address. Its reach remains small, at 8,959 policies nationally, largely because MCO and ECO cannot be combined and so compete for the same enrollment decision.

Several factors will shape how these policy changes ultimately affect producer outcomes. Basis risk will likely continue to limit the attractiveness of area-based coverage in heterogeneous production environments, and interactions between supplemental and individual coverage decisions may generate substitution effects not fully captured in the present analysis. In addition, the fiscal and risk-distribution consequences of expanded supplemental coverage will depend on realized indemnities, future rate adjustments, and the geographic concentration of participation. Subsequent monitoring of enrollment, premium expenditures, and loss experience as OBBBA's 2026 transition year gives way to the 2027 program design will be needed to assess how the expanded supplemental framework affects farm income variability and program cost over time.

The estimates and analytical framework presented in this report should be interpreted as an early baseline for evaluating OBBBA's supplemental provisions as additional enrollment and indemnity data become available. The Agricultural Risk Policy Center (ARPC) is developing a broader simulation framework to support that work and to provide a more comprehensive assessment of how OBBBA may reshape supplemental crop insurance participation in the years ahead. Future work can build on this baseline by examining fiscal exposure, the interaction between supplemental products and other farm safety net choices, and the distribution of supplemental participation across crops, farm types, and regions.

Appendices

Appendix A: Recalibrating Supplemental Area-Plan Rates to Alternative Coverage Bands

Recent provisions in the One Big Beautiful Bill Act (OBBBA) modify the coverage structure of supplemental area-based crop insurance beginning in the 2027 crop year. The Supplemental Coverage Option (SCO) upper trigger increases from 86 to 90 percent, while the Enhanced Coverage Option (ECO) coverage band narrows from 86–95 percent to 90–95 percent. Because official premium parameters

reflecting these changes will not appear in the Risk Management Agency (RMA) Actuarial Data Master (ADM) until late 2026 or early 2027, a temporary gap exists for policy analysis. This technical note presents a transparent method for approximating revised premium parameters by scaling observed ADM base rates and payment factors according to changes in insured band width. Historical recalibrated rates for the OBBBA-adjusted coverage bands for crop years 2015–2026 are the inputs to the retrospective simulation reported in the Outlook section; they are produced by applying the procedure described below to the published ADM and are released as an accompanying ARPC data file.

Policy Motivation for Rate Recalibration

Although the 2027 band changes described earlier in this report will apply starting in the 2027 crop year, the official premium parameters reflecting the new band structures will not appear in the RMA ADM until late in the 2026 rating cycle or early in 2027. As a result, analysts seeking to evaluate the policy implications of the OBBBA reforms must conduct analysis using ADM data that still reflect the historical coverage bands.

This creates a practical challenge for policy simulation, outlook analysis, and program evaluation. To address this timing gap, it is useful to construct an approximate recalibration of the observed premium parameters so that they reflect the modified coverage intervals implied by the new legislation.

Such a recalibration allows analysts to simulate producer incentives, premium costs, subsidy flows, and expected indemnities under the revised program structure using currently available data. While this approach does not replace the official actuarial rating process conducted by RMA, it provides a transparent and analytically consistent approximation that is sufficient for forward-looking policy analysis.

Relationship Between Coverage Band and Premium

Let the original insured coverage band be defined by two parameters: S, the area loss start percent (upper trigger), and E, the area loss end percent (lower trigger). The width of the original insured band is

$$B_{\text{old}} = S - E.$$

This quantity represents the interval of losses over which indemnities may occur under the original policy structure.

The calibration method described in this note is based on the observation that the premium components of supplemental area plans are closely related to the width of the insured coverage band. When the insured interval expands, a larger range of potential losses becomes indemnifiable. This increases expected payouts and therefore the appropriate premium level.

Conversely, when the band narrows, the range of covered losses decreases. This reduces expected indemnities and lowers the premium. This relationship suggests that, as a first-order approximation, the premium parameters can be scaled in proportion to the change in band width.

Recalibration of Premium and Payment Parameters Under Modified Coverage Bands

Building on the band-width relationship described in the preceding subsection, suppose a policy change modifies one or both endpoints of the insured band. Let Δ_S denote the adjustment applied to the start percent and Δ_E denote the adjustment applied to the end percent. The modified endpoints become

$$S^* = S + \Delta_S \qquad \text{and} \qquad E^* = E + \Delta_E.$$

The width of the modified band is therefore

$$B_{\text{new}} = S^* - E^* = (S + \Delta_S) - (E + \Delta_E).$$

Because official actuarial parameters for modified coverage structures may not yet exist, we approximate the effect of the band change using several complementary calibration approaches. Each method constructs a differential that translates observed actuarial parameters from the original band to the modified band.

2.12.1 Band-Width Proportional Calibration

The simplest calibration assumes that expected loss costs scale proportionally with the width of the insured band. Under this approximation, the rate adjustment factor is defined as

$$D = \frac{B_{\text{new}}}{B_{\text{old}}}.$$

Substituting the band definitions yields

$$D = \frac{(S + \Delta_S) - (E + \Delta_E)}{S - E}.$$

This factor represents the proportional change in insured band width between the modified and original coverage structures. If the new band is wider than the original band, the factor exceeds one; if the new band is narrower, the factor is less than one.

Because extremely small original band widths can produce unstable scaling factors, a stability adjustment is applied before the differential is used to recalibrate premium components. When the original band width is very small, the recalibration factor can become extremely large. For example, if

$$B_{\text{old}} = 0.02 \qquad \text{and} \qquad B_{\text{new}} = 0.08,$$

then

$$D = 4.$$

Such extreme adjustments typically arise from very small denominators rather than meaningful differences in actuarial risk. To prevent unstable scaling, the recalibration factor is capped at an upper bound such that

$$D^* = \min(D, 2).$$

This cap limits the maximum upward adjustment to a doubling of the original premium components while preserving proportional relationships for typical band widths.

Let R denote the observed base rate associated with the original coverage band. The recalibrated base rate for the modified band is computed as

$$R^* = R \times D^*.$$

Similarly, if P denotes the observed payment factor under the original band, the recalibrated payment factor is

$$P^* = P \times D^*.$$

Applying the same adjustment factor to both premium components maintains internal consistency between rate parameters.

In practice, rating data may contain multiple observations within a geographic and commodity grouping. Let D_i denote the recalibration factor computed for record i within a given group. If there are n observations within that group, the average calibration factor is

$$\bar{D} = \frac{1}{n} \sum_{i=1}^{n} D_i.$$

This averaged factor provides a stable calibration multiplier that can then be applied to detailed rate records within the same group.

2.12.2 Structural Rate Calibration Using ADM Relationships

While proportional band-width scaling provides a simple approximation, actuarial rates in the Federal Crop Insurance Program (FCIP) also depend on the position of the band within the loss distribution and on plan-specific design features. To capture these structural relationships, we estimate an empirical model linking observed base rates to key band parameters using data from the ADM.

Within each geographic and commodity grouping, we estimate the log-linear relationship

$$\log(R) = \beta_0 + \beta_1 \log(B) + \beta_2 \log(E) + \beta_3 RP + \beta_4 RP_{HPE}.$$

Here, R is the observed base rate, B is the coverage band width, E is the lower endpoint of the band, and RP and RP_{HPE} are indicator variables for revenue protection plan variants. Using the estimated coefficients, predicted base rates are computed for both the original band and the modified band:

$$\hat{R}_{\text{old}} \qquad \text{and} \qquad \hat{R}_{\text{new}}.$$

The implied regression-based calibration factor is

$$D_{\text{reg}} = \frac{\hat{R}_{\text{new}}}{\hat{R}_{\text{old}}}.$$

This approach preserves the empirical relationships embedded in ADM rate construction and allows the calibration to reflect how actuarial rates vary with both band width and band position.

2.12.3 Empirical Loss-Cost Calibration Using Historical Yield Outcomes

A third calibration method uses historical yield outcomes to approximate how expected indemnities would change under the modified coverage band. Historical observations of expected and realized yields are combined with the FCIP payment formula to simulate payment rates under both the original and modified band definitions.

For each observation, payment rates are computed using the original coverage band and the modified coverage band. Expected payment rates are then averaged within each geographic grouping to obtain

$$\mathrm{E}[\text{payment rate}_{\text{old}}] \qquad \text{and} \qquad \mathrm{E}[\text{payment rate}_{\text{new}}]\,.$$

The empirical loss-cost differential is defined as

$$D_{\text{emp}} = \frac{\text{E}[\text{payment rate}_{\text{new}}]}{\text{E}[\text{payment rate}_{\text{old}}]}.$$

To account for alternative treatments of yield trends, this simulation procedure is implemented using three yield measures: observed yields, trended yields, and detrended yields. These alternatives produce three empirical calibration factors that reflect how expected indemnities would have changed if the modified coverage band had historically been in place.

2.12.4 Payment Differential Calibration

Finally, payment differentials are computed directly from the FCIP payment formula using ADM price and index data. Using observed index values and price parameters, payment rates are simulated under both the original and modified band definitions while holding other contract parameters fixed.

Let Q_{old} denote the payment rate computed under the original band and Q_{new} the payment rate under the modified band. The resulting payment differential is

$$D_{\text{pay}} = \frac{Q_{\text{new}}}{Q_{\text{old}}}.$$

This differential isolates the direct effect of the band modification on indemnity payments and provides an additional benchmark for evaluating the magnitude of the policy change.

Interpretation and Conclusion

Across these calibration methods, the differential has a consistent interpretation. If the differential exceeds one, the modified band implies greater expected indemnity exposure and higher actuarial rates. If the differential is less than one, the modified band reduces expected exposure and actuarial rates decline proportionally. When the differential equals one, the modified and original band structures imply identical expected loss exposure.

The proportional band-width calibration described in this report provides a simple and transparent method for approximating supplemental area-plan premium parameters under modified coverage

structures. Rescaling the published rate and payment parameters in proportion to how much the insured band widens or narrows yields approximate premium schedules that reflect the policy changes introduced by the OBBBA.

This approach enables timely evaluation of producer incentives, premium costs, subsidy exposure, and expected risk protection under the revised SCO and ECO structures before official actuarial parameters become available. Once the official rates reflecting the new coverage bands are published in the RMA ADM, those values can replace the calibrated approximations used in this analysis.

For transparency and reproducibility, historical recalibrated base rates and payment factors for the OBBBA-adjusted SCO and ECO coverage bands for crop years 2015 through 2026 are maintained in a companion repository and are available on request.

Beyond the immediate application to OBBBA reforms, this calibration framework has broader practical value for agricultural policy analysis. The method can be used to approximate premium parameters for any proposed change in supplemental coverage bands by translating existing ADM rate schedules into alternative band structures.

This allows analysts to evaluate the potential implications of proposed policy adjustments prior to legislative or regulatory implementation. In particular, the approach enables forward-looking assessments of how changes in coverage bands may affect producer risk protection, expected indemnity exposure, premium costs, subsidy levels, and the overall actuarial performance of the crop insurance program.

Because the method relies only on currently available ADM rating parameters and a transparent proportional adjustment based on band width, it can be readily incorporated into simulation models and policy evaluation frameworks. As a result, the calibration approach provides a practical tool for evaluating potential program design changes, supporting scenario analysis, and informing policy discussions regarding the structure, performance, and fiscal implications of supplemental crop insurance products.

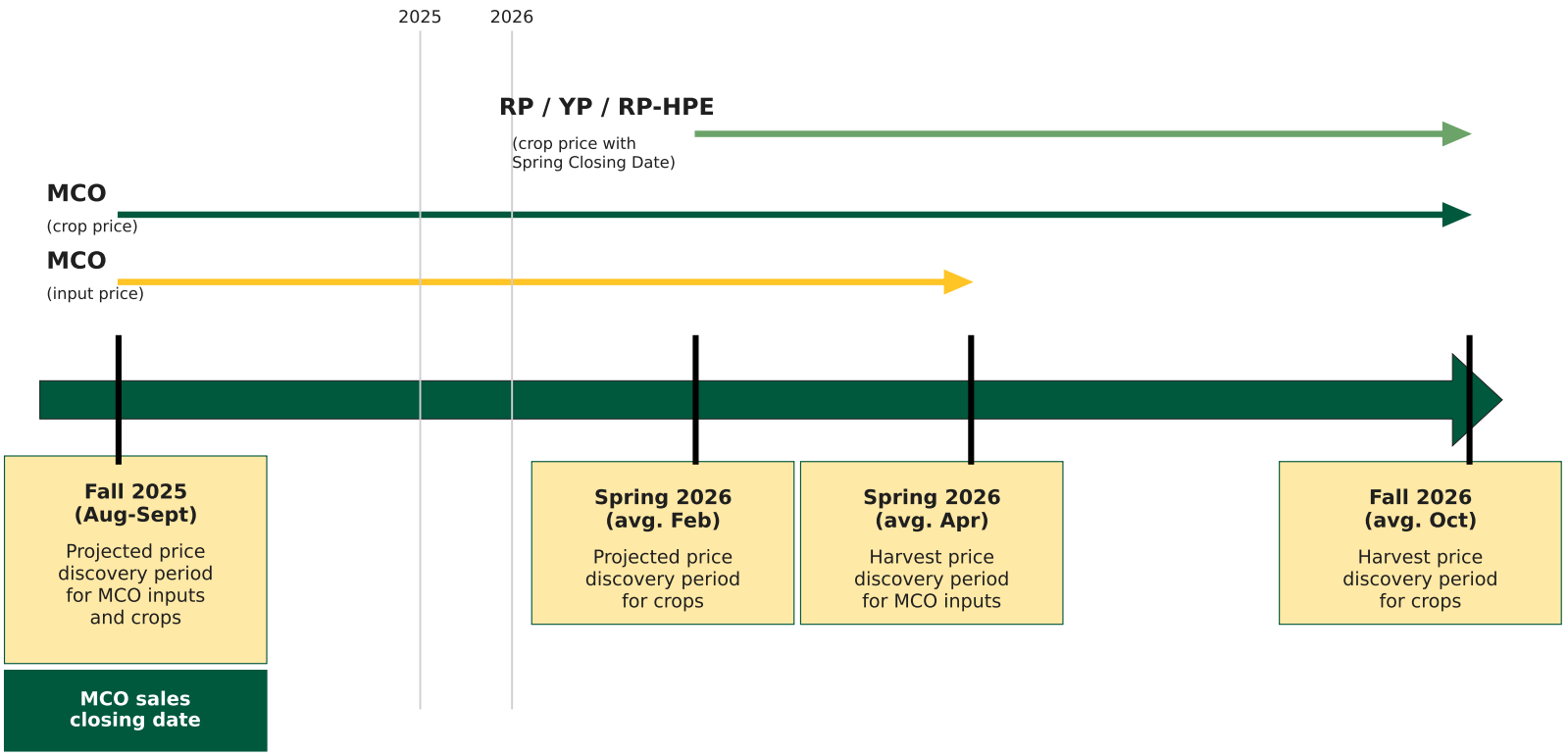
Appendix B: Featured Article Supplementary Exhibits

Three exhibits set out the mechanism behind the featured article: when the cost shock could reach the insured margin, how it was converted into an indexed cost, and who was exposed when it did.

Timing comes first. Figure 21 illustrates the typical MCO price discovery timeline for corn in most states.

Projected input and crop prices are set in the fall before the insured crop year, final input prices are set in April, and final crop prices follow the harvest discovery period. That sequencing is what allowed the 2026 cost shock to enter the insured margin after enrollment had closed, leaving enrolled producers holding a contract whose cost side moved underneath them.

Figure 21: ***Typical Margin Coverage Option (MCO) Price Discovery Timeline for Corn in Most States.***



Notes: MCO = Margin Coverage Option; RP = Revenue Protection; YP = Yield Protection; RP-HPE = Revenue Protection with Harvest Price Exclusion.

Note: Projected prices for MCO inputs and crops are set in the fall before the insured crop year, final input prices are set in April, and final crop prices follow the harvest discovery period. Rice has a different discovery schedule.

Source: NDSU Agricultural Risk Policy Center (ARPC) based on USDA Risk Management Agency price discovery provisions.

How the shock was converted into an indexed cost follows from the quantities it is applied to. Table 6 reports the RMA-specified input quantities used to construct the MCO cost index for selected crops. Each quantity scales with the county expected area yield (EAY), so the indexed cost of production rises with the productivity of the insured area, and a given movement in input prices therefore lands hardest on the highest-yielding counties.

Table 6: ***Margin Coverage Option (MCO) Input Quantities Based on Expected Area Yield (EAY) for Selected Crops.***

Practice / Input	Corn	Cotton	Grain Sorghum	Soybeans	Spring Wheat
Non-irrigated					
Urea (lbs. per acre)	(EAY x 0.53)/0.46	(EAY x 0.059)/0.46	(EAY x 0.51)/0.46		(EAY x 1.28)/0.46
DAP (lbs. per acre)	(EAY x 0.35)/0.46	(EAY x 0.036)/0.46	(EAY x 0.39)/0.46	(EAY x 0.73)/0.46	(EAY x 0.57)/0.46
Potash (lbs. per acre)	(EAY x 0.25)/0.6	(EAY x 0.040)/0.6	(EAY x 0.27)/0.6	(EAY x 1.1)/0.6	(EAY x 0.33)/0.6
Diesel (gal. per acre)	(EAY x 0.04) + 2.5	(EAY x 0.007) + 2.0	(EAY x 0.027) + 2.0	(EAY x 0.10) + 2.5	(EAY x 0.054) + 2.0
Irrigated					
Urea (lbs. per acre)	(EAY x 0.53)/0.46	(EAY x 0.059)/0.46	(EAY x 0.51)/0.46		(EAY x 1.28)/0.46
DAP (lbs. per acre)	(EAY x 0.35)/0.46	(EAY x 0.036)/0.46	(EAY x 0.39)/0.46	(EAY x 0.73)/0.46	(EAY x 0.57)/0.46
Potash (lbs. per acre)	(EAY x 0.25)/0.6	(EAY x 0.040)/0.6	(EAY x 0.27)/0.6	(EAY x 1.1)/0.6	(EAY x 0.33)/0.6
Natural gas (MMBtu per acre)	EAY x 0.04	EAY x 0.01	EAY x 0.07	EAY x 0.14	EAY x 0.06
Diesel (gal. per acre)	(EAY x 0.04) + 2.5	(EAY x 0.007) + 2.0	(EAY x 0.027) + 2.0	(EAY x 0.10) + 2.5	(EAY x 0.054) + 2.0

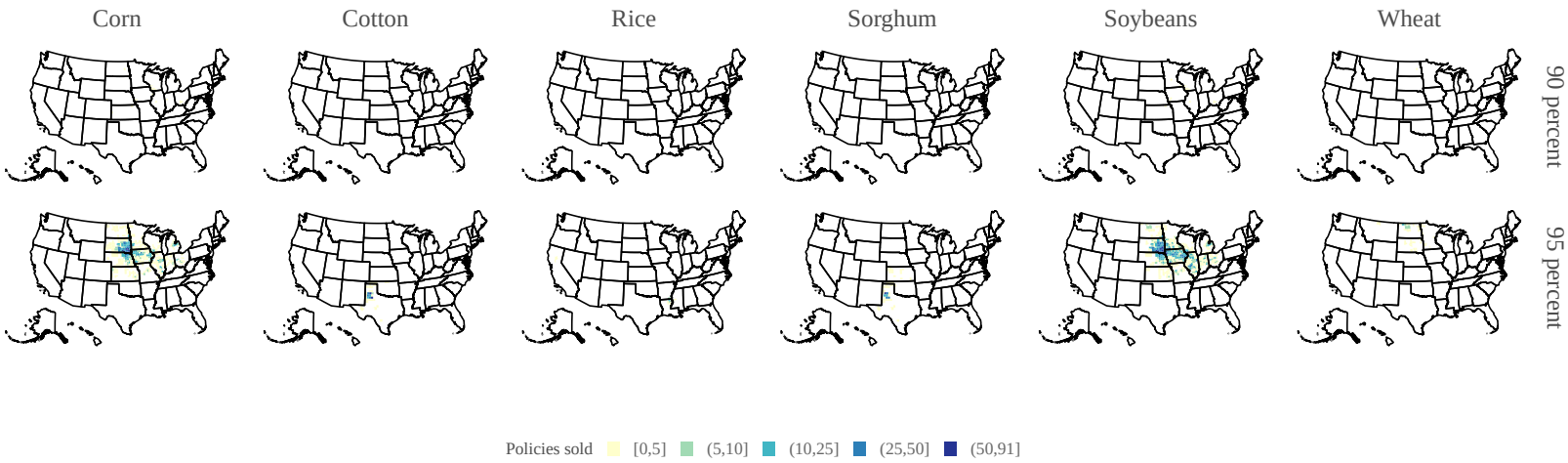
Note: EAY is the county expected area yield. Urea is not part of the soybean cost index, and natural gas applies to irrigated practices only.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency.

Who was exposed is the last piece. Figure 22 maps MCO policies sold by county, commodity, and coverage level as of September 16, 2026, and the map makes visible what the policy counts reported at the start of this article already imply: first-year enrollment is concentrated in the Corn Belt, and almost

entirely at the 95 percent coverage level, the MCO-90 panel being sparse by comparison. That concentration at the top of the available band mirrors the ECO-95 pattern documented earlier in this report, and it means the counties carrying the 2026 cost shock are also those holding the narrowest, most frequently triggered layer of margin protection.

Figure 22: ***Margin Coverage Option (MCO) Policies Sold by County, Commodity, and Coverage Level, 2026.***



Note: Counties are shaded by the number of Margin Coverage Option policies sold in 2026, by commodity and coverage level. Commodities with fewer than 50 policies nationally are omitted from the map and reported in the adoption table instead. Counties with no MCO policies are unshaded.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business, as of September 16, 2026.

Supplementary Note: Simulation Approach

A simulation approach is used to derive expected payments for MCO-95 for corn and soybeans. The process begins by using futures prices (December contracts for corn and November contracts for soybeans) and implied volatilities at expiration, adjusted to October, to estimate a lognormal distribution of crop harvest prices. The corn December contract is $5.34 per bushel and the soybean November contract is $13.32 per bushel. Implied volatilities are 10.5 percent and 7.1 percent at expiration, respectively.

Average county yields are assumed to equal RMA expected yields. Historical RMA county yields for non-irrigated practices from 1995 to 2024 are detrended using a linear trend and expressed in 2026 values, after which the standard deviation is computed. A Weibull distribution is then fitted for each county by the method of moments, using the county-specific mean and standard deviation as inputs.

Because MCO is evaluated in combination with Revenue Protection, farm-level yields are simulated alongside county yields. Farm expected yield is set equal to the county expected yield, farm yield standard deviation is set 25 percent above the county standard deviation to reflect the greater dispersion of individual yields relative to a county average, and the correlation between farm and county yields is set at 0.7. These three parameters are assumptions rather than estimates, and the farm-level results are correspondingly less precisely identified than the county-level ones.

Finally, using state-level yield-price correlations from RMA's COMBO rating methodology, a normal copula is generated using the Iman and Conover method (Iman and Conover, 1982) to jointly model yields and prices. This imposes the historical correlation structure between the two variables, which is negative in most Midwest states.

Based on 10,000 simulated county yields and harvest prices, indemnities are calculated for MCO with a 95 percent coverage band when purchased in combination with Revenue Protection. Following the Revenue Protection provisions, the harvest price entering the revenue guarantee is floored at the projected price and capped at twice it. Producer-paid premium is computed from the MCO-95 base rate applied to liability, net of the 80 percent federal subsidy that applies to the endorsement, so the expected net returns reported above are net of the subsidized premium rather than the gross premium.

Appendix C: Validating the Early Adoption Projection Against Reported Acreage

The projection above assumes that acres per policy in 2026 hold at recent historical levels. That assumption is now partly testable. Acreage reporting has closed for 100.0 percent of the underlying insured acres in the counties and commodities considered in this section, and those acres are reflected in the Summary of Business as of October 15, 2026. A closed reporting deadline is not the same as every acre having been posted, which is why the projection above is still required; what it does mean is that these cells are no longer waiting on producers to file. Because underlying and supplemental acres are carried on the same acreage report, any remaining reporting lag scales the numerator and the denominator of the adoption rate in common and therefore largely cancels, so adoption observed in these cells is a considerably firmer quantity than the acreage levels themselves.

Table 7 compares projected and observed adoption for exactly this set of cells. Observed Enhanced Coverage Option (ECO) adoption is 9.9 percentage points below the projection, and observed Supplemental Coverage Option (SCO) adoption is 2.7 percentage points above it. The acres-per-policy columns locate the source of any divergence: where observed acres per policy exceed the assumed value, the projection understates eventual adoption, and where they fall short of it, the projection overstates it.

Table 7: ***Projected and Observed Supplemental Insurance Adoption in Crop-County Cells with Closed Acreage Reporting, 2026.***

Plan	Assumed Acres per Policy	Observed Acres per Policy	Projected Adoption in These Cells (percent)	Observed Adoption (percent)
Base (underlying policy)	142.2	143.8	–	–
ECO	274.8	233.3	61.79	51.87
SCO	210.0	233.7	26.57	29.24

Note: Restricted to crop-county cells whose acreage reporting date had passed on or before September 15, 2026, which cover 100.0 percent of underlying insured acres and 100.0 percent of underlying policies in the counties and commodities considered in this section (12,613 of 386,724 cells). Assumed acres per policy is the 2022 through 2025 mean for the underlying policy and the 2025 level for ECO and SCO, matching the projection. Projected adoption applies those assumed ratios to policy counts observed in these cells; observed adoption uses acres actually reported for the same cells. Cells whose reporting date has passed are concentrated in earlier-planted crops and southern regions, so they are not a random sample of the national footprint.

Source: NDSU Agricultural Risk Policy Center (ARPC) using data from USDA Risk Management Agency Summary of Business and Actuarial Data Master, as of October 15, 2026.

These estimates are a check on the projection rather than a replacement for it. Because the reporting calendar has closed across the whole analysis universe, the comparison spans the same commodities and counties as the projection itself and is not subject to the geographic selection that would apply earlier in the season.

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About the Agricultural Risk Policy Center

The Agricultural Risk Policy Center at North Dakota State University conducts independent, evidence-based economic research to inform agricultural policy and strengthen the farm safety net. Our work focuses on evaluating risk management tools such as crop insurance and disaster assistance, analyzing market disruptions, and providing timely insights that support agricultural producers, policymakers, and industry leaders.

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